



Reliance Industries Limited

Equity Research Report

NSE: RELIANCE | BSE: 500325

Recommendation: HOLD

Current Price (12th August 2026) ₹1,310.00

Implied Upside / (Downside) +7.15%

Valuation Range ₹989 – ₹1,960

Base Case ₹1,403.60

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August 2026**

This report has been prepared for educational and portfolio purposes only and does not constitute investment advice. The valuation represents the author's independent analytical estimates and assumptions and should not be interpreted as a recommendation to buy or sell securities.

INVESTMENT SUMMARY

The author initiates coverage on **Reliance Industries Limited (NSE: RELIANCE)** with a **HOLD** recommendation and a **target price of ₹1,403.60**, implying **7.1% upside** from the current share price of ₹1,310.00 as of 12 August 2026. The target price is derived from the primary valuation framework, which combines **segment-level SOTP valuation (80%) and FCFF-based DCF valuation (20%)**. The analysis incorporates a dynamic Bull/Base/Bear scenario framework, with implied values ranging from **₹989.63 to ₹1,959.14 per share**.

The author's HOLD recommendation reflects a balance between strong long-term structural growth in **Jio and Reliance Retail** and the relatively limited margin of safety at the current market price. Reliance's diversified portfolio provides multiple avenues for earnings growth, particularly through telecom monetisation, digital services, organised retail penetration and the continued development of its consumer ecosystem. However, these growth opportunities are accompanied by significant valuation sensitivity to segment multiples, O2C profitability, terminal assumptions and the pace of margin expansion.

Valuation Overview

<i>Valuation Metric</i>	<i>Value</i>
<i>Current Share Price</i>	₹1,310.00
<i>Base Case Target Price</i>	₹1,403.60
<i>Implied Upside</i>	+7.1%
<i>Bear Case</i>	₹989.63
<i>Base Case</i>	₹1,403.60
<i>Bull Case</i>	₹1,959.14
<i>Valuation Range</i>	₹989 – ₹1,959
<i>Primary Methodology</i>	80% SOTP / 20% DCF

Investment Thesis

1. *Jio provides the primary structural growth engine*

Jio remains a key driver of Reliance's medium- to long-term earnings growth. Continued subscriber additions, rising ARPU, 5G monetisation and the broader expansion of digital services provide scope for sustained EBITDA growth. The model therefore assigns Jio a 15.0x EV/EBITDA valuation multiple, representing a premium to the observed Bharti Airtel reference multiple of approximately 9.57x. The premium reflects Jio's scale, digital ecosystem optionality and potential for further monetisation rather than simply near-term earnings growth.

2. *Reliance Retail offers significant consumer-sector optionality*

Reliance Retail represents the second major source of structural value creation. Increasing organised-retail penetration, store expansion, omnichannel capabilities and operating leverage provide a long runway for revenue and EBITDA growth. The model applies a 22.0x EV/EBITDA multiple, representing a modest premium to the observed Peer reference multiple of approximately 20.07x, reflecting Reliance Retail's scale, format diversification, omnichannel capabilities and long-term organised-retail penetration potential.

3. *O2C provides substantial earnings & cash-flow contribution but remains cyclical*

O2C remains an important contributor to Reliance's consolidated earnings and cash generation, but its profitability is structurally more exposed to refining margins, petrochemical spreads and commodity cycles than Jio or Retail. The model therefore uses a 6.5x EV/EBITDA multiple, above the Indian Oil reference multiple of approximately 3.68x, reflecting Reliance's integrated asset base, private-sector operating model and broader petrochemical capabilities while recognising the cyclical nature of the business.

4. *Oil & Gas provides an additional earnings-growth opportunity*

Reliance's E&P business offers incremental growth potential through production ramp-up and higher utilisation of its upstream assets, particularly the KG-D6 portfolio. The model applies a 5.5x EV/EBITDA multiple relative to ONGC's approximately 2.11x observable reference multiple. The premium reflects

differences in ownership structure, asset characteristics, operating model and Reliance's broader portfolio optionality, although the business remains exposed to commodity prices and production execution.

Why HOLD?

At ₹1,310, the stock trades close to the author's Base Case valuation of **₹1,403.60**, leaving **only 7.1% implied upside**. The analysis therefore does not identify a sufficient margin of safety to support a BUY recommendation.

Importantly, the **HOLD** call does not reflect a negative view of Reliance's underlying businesses. Rather, it reflects the relationship between business quality, expected earnings growth and the valuation already embedded in the share price.

The model's scenario analysis illustrates the asymmetric outcome:

- **Bear Case: ₹989.63 — 24.46% downside**
- **Base Case: ₹1,403.60 — 7.15% upside**
- **Bull Case: ₹1,959.14 — 49.55% upside**

This wide distribution highlights the extent to which Reliance's valuation depends on the successful execution of its consumer and digital growth strategy and on the multiples investors are willing to assign to those businesses.

Key Catalysts

- **Jio ARPU and subscriber monetisation** exceeding base-case assumptions.
- **Reliance Retail margin expansion** through scale, format optimisation and operating leverage.
- Faster-than-expected **5G and digital ecosystem monetisation**.
- Stronger-than-expected **O2C margin normalisation**.
- Higher production and realisations from **Oil & Gas / E&P**.
- Market re-rating of Jio and Retail as increasingly distinct consumer and digital platforms.

Key Risks

- Lower-than-expected Jio subscriber growth or ARPU expansion.
- Slower Retail margin expansion or weaker store productivity.
- Prolonged weakness in refining and petrochemical margins.
- Commodity-price volatility affecting O2C and E&P earnings.
- Downward re-rating of segment EV/EBITDA multiples.
- Higher WACC or lower terminal growth materially reducing DCF value.
- Execution, regulatory and capital-allocation risks across a highly diversified conglomerate.

Investment Conclusion

Reliance offers attractive long-term structural growth, but the current valuation provides limited near-term margin of safety. The author's Base Case target of **₹1,403.60** suggests modest upside, while the Bull Case demonstrates meaningful optionality if Jio and Retail outperform expectations. Conversely, the Bear Case highlights substantial downside if growth assumptions or segment valuation multiples compress.

Accordingly, the author assigns a **HOLD** recommendation, with the key variables to monitor being Jio monetisation, Retail profitability, O2C margins and the valuation multiples assigned to Reliance's consumer and digital businesses.

COMPANY OVERVIEW

Reliance Industries Limited (RIL) is one of India's largest diversified enterprises, with operations spanning **digital services, organised retail, oil-to-chemicals, oil & gas, media and entertainment, and new energy**. The Group has evolved materially from an energy-led conglomerate into a broader consumer, digital and technology platform while retaining a globally significant energy and materials franchise.

The investment case is therefore best evaluated on a **sum-of-the-parts basis rather than through a single consolidated trading multiple**. Jio and Retail possess structurally different growth, margin and valuation characteristics from the mature O2C and upstream businesses. This segmentation is central to the author's valuation framework.

Business Structure

RIL currently reports four principal operating and reporting segments in its consolidated financial statements: **Oil-to-Chemicals, Oil & Gas, Retail and Digital Services**. Media & Entertainment and other activities are captured separately within the Group's broader reporting structure.

Digital Services — Jio

Jio is Reliance's principal digital growth platform, encompassing telecommunications connectivity, broadband, cloud and a broader digital ecosystem.

The business serves **more than 520 million subscribers** and operates across connectivity and cloud, digital commerce, media/gaming, education, agriculture, e-governance and healthcare. In FY2025-26, Digital Services generated approximately **₹1.71 lakh crore of revenue from operations (Gross)** and **₹76,560 crore of EBITDA**, with EBITDA increasing 17.3% year-on-year.

The key investment drivers are:

- Subscriber additions and retention
- ARPU expansion
- 5G monetisation
- Broadband penetration
- Enterprise and cloud services
- Increasing monetisation of the broader Jio ecosystem

*Jio is consequently treated as a **structural growth asset** within the SOTP rather than being valued on the same basis as Reliance's mature energy businesses.*

Reliance Retail

Reliance Retail is India's largest organised retail platform, operating across **grocery, consumer electronics, fashion and lifestyle, pharmacy and digital commerce**. Its extensive physical network is complemented by JioMart, Milkbasket and other digital and omnichannel platforms.

During FY2025-26, the business recorded **₹3.71 lakh crore of revenue (Gross)**, opened **1,564 stores** and ended the year with approximately **20,160 stores**. EBITDA increased 7.7% to **₹27,034 crore**, although EBITDA margin moderated to 8.2% as hyper-local commerce expanded.

The investment case rests on:

- Continued organised-retail penetration
- Store network expansion
- Increasing store productivity

- Private-label growth
- Operating leverage
- Omnichannel adoption
- Hyper-local and quick-commerce expansion
- Cross-selling across Reliance's consumer ecosystem

Retail is therefore another **high-growth, consumer-facing asset** that can command a different valuation framework from O2C.

Oil-to-Chemicals — O2C

O2C remains Reliance's largest operating business by revenue and an important source of consolidated cash generation. The segment integrates **refining, transportation fuels, petrochemicals, polymers, elastomers, intermediates and polyester products** across a highly integrated asset base.

FY2025-26 O2C revenue increased **5.7% to ₹6.62 lakh crore (*Gross*)**, while EBITDA increased **10.1% to ₹60,546 crore**, supported by stronger transportation-fuel cracks, feedstock optimisation and higher domestic product placement.

However, unlike Jio and Retail, O2C remains exposed to:

- Refining margins
- Petrochemical spreads
- Crude prices
- Global supply-demand conditions
- Geopolitical disruptions
- Commodity-cycle normalisation

The author's valuation therefore applies a more conservative **6.5x EV/EBITDA** multiple to O2C rather than attributing a consumer- or technology-style multiple to the business.

Oil & Gas

Reliance's Oil & Gas business is an upstream exploration and production platform focused primarily on deep-water and ultra-deep-water assets, including the **KG-D6 basin**, alongside its coal-bed methane portfolio.

FY2025-26 average production was approximately **25.9 MMSCMD**, representing roughly 30% of India's domestic gas output. Production optimisation and additional development wells at KG-D6 provide potential for improved recovery, although the segment remains exposed to production decline and gas-price realisations.

The key drivers are:

- Production ramp-up
- Field recovery
- Gas realisations
- Development drilling
- Asset utilisation
- Reserve monetisation

Oil & Gas is therefore valued separately from O2C in the SOTP because the economics, capital intensity and commodity exposure differ materially.

Strategic Transformation

The strategic significance of this transformation is that **capital generated by the legacy energy businesses has increasingly been deployed toward higher-growth consumer, digital and new-energy opportunities.**

This creates both an opportunity and a valuation challenge.

The opportunity is that Jio and Retail can potentially compound earnings at rates materially above mature energy businesses.

The challenge is that investors must determine how much of this future growth is already reflected in the current share price.

This distinction is central to the author's **HOLD** recommendation.

FY2025-26 Segment Snapshot

Segment	FY26 Net Revenue*	FY26 Net EBITDA	Strategic Character
O2C	₹5.91 lakh Cr	₹60,546 Cr	Mature / cyclical cash generator
Retail	₹3.64 lakh Cr	₹27,034 Cr	Consumer growth platform
Digital Services	₹1.58 lakh Cr	₹61,422 Cr	Structural growth / digital platform
Oil & Gas	₹21,587 Cr	₹19,050	Upstream / commodity-linked
Media, Entertainment & Others	₹40,682 Cr	₹24,721 Cr	Emerging / strategic optionality

** Segment revenue figures are presented on the relevant segment reporting basis and should not be summed mechanically to consolidated revenue because of inter-segment transactions and reporting adjustments.*

Balance Sheet & Capital Allocation

Reliance continues to operate with a substantial capital base and high ongoing investment requirements. FY2025-26 consolidated **gross debt stood at ₹3.74 lakh crore and net debt at ₹2.27 lakh crore**, while annual capital expenditure reached **approximately ₹1.22 lakh crore**. Capex was directed principally toward O2C and New Energy, alongside continued investment in Digital Services and Retail.

This capital intensity is important for valuation: while Jio and Retail offer significant growth optionality, the Group's overall valuation must also account for the capital required to sustain and expand its energy, consumer and new-energy platforms.

INDUSTRY OVERVIEW

Reliance operates across multiple industries with materially different growth profiles, competitive structures and capital requirements. The investment case is therefore best understood through the underlying industry dynamics of **telecommunications and digital services, organised retail, refining and petrochemicals, and upstream oil & gas** rather than through a single consolidated industry lens.

India's structural growth trajectory remains supportive of Reliance's consumer-facing businesses, while the energy businesses provide significant scale and cash-generation capacity but remain more exposed to global commodity cycles. The key valuation question is therefore whether the higher-growth Jio and Retail businesses can increasingly offset the cyclical and capital intensity of the legacy energy portfolio.

1. Telecommunications & Digital Services

Industry Structure

India is one of the world's largest telecommunications markets, characterised by high mobile penetration, rapidly increasing data consumption and a relatively concentrated competitive structure.

The market has progressively consolidated around **Reliance Jio, Bharti Airtel and Vodafone Idea**, following several years of competitive intensity and industry consolidation. This consolidation has materially improved the industry's pricing environment compared with the period immediately following Jio's entry.

The economics of the sector have increasingly shifted from **subscriber acquisition toward monetisation**, with ARPU expansion, 5G adoption, fixed wireless access, broadband and enterprise services becoming increasingly important drivers of industry profitability.

Key Industry Drivers

1. *ARPU expansion and tariff rationalisation*

Future industry revenue growth is increasingly dependent on higher monetisation per subscriber rather than purely on subscriber additions. Tariff increases, premium-plan migration and greater data consumption provide structural support for ARPU expansion.

For Jio, even modest ARPU increases can have significant EBITDA implications because a large portion of incremental telecom revenue carries relatively high operating leverage.

2. *5G monetisation*

The transition from 4G to 5G creates opportunities beyond basic connectivity, including:

- Higher-value data plans
- Fixed wireless access
- Enterprise connectivity
- Cloud services
- IoT applications
- Edge computing
- Digital entertainment

The key investment question is therefore not simply the speed of 5G rollout, but the extent to which operators can monetise the incremental network capability.

3. *Broadband and fixed connectivity*

India's broadband penetration remains below that of several developed markets, creating a significant addressable market for fibre and fixed wireless broadband.

Jio's integrated telecom and digital ecosystem provides an advantage in cross-selling broadband, entertainment and digital services to its existing mobile subscriber base.

Competitive Position

Jio's principal competitive advantage is its scale combined with vertical integration across telecommunications and digital services.

Bharti Airtel remains the principal listed benchmark for valuation purposes, but Jio's business extends beyond conventional telecommunications into a broader consumer and technology ecosystem.

A **15.0x** premium multiple is heavily defended over pure-play telecom utilities due to Jio's structural transformation into a digital platform ecosystem. Jio maintains absolute market leadership with 520 million+ subscribers and is rapidly monetizing high-margin home enterprise ecosystems via JioAirFiber. Critically, this multiple accounts for a near-term valuation catalyst: the upcoming ₹50,000 crore Jio IPO, which structurally commands a public listing scarcity premium over historical capital tracking.

2. Organised Retail & Consumer Industry Structure

India's retail market remains highly fragmented, with a substantial proportion of consumption still occurring through traditional and unorganised retail channels.

The gradual shift toward organised retail provides a long-term structural growth opportunity for large-format retailers with access to capital, supply-chain infrastructure and national distribution networks.

Reliance Retail is positioned across multiple consumer categories, including:

- Grocery
- Fashion & lifestyle
- Consumer electronics
- Pharmacy
- Digital commerce
- Quick commerce

This diversification gives Reliance exposure to multiple consumption trends rather than relying on a single retail format.

Key Industry Drivers

1. *Organised-retail penetration*

Rising disposable incomes, urbanisation, formalisation of the economy and changing consumer preferences are gradually shifting spending toward organised retailers.

This provides a structural growth opportunity independent of short-term changes in consumer sentiment.

2. *Omnichannel adoption*

Indian consumers increasingly combine physical and digital shopping.

Reliance's combination of physical stores, JioMart and other digital platforms creates an integrated customer ecosystem that can improve:

- Customer acquisition
- Basket size
- Purchase frequency
- Inventory utilisation
- Customer retention

3. *Private-label and supply-chain economics*

Greater penetration of private-label products can improve gross margins while providing greater control over product differentiation and pricing.

At scale, direct sourcing and supply-chain optimisation can also provide structural cost advantages.

Competitive Position

Reliance Retail competes with a broad range of operators, including **Avenue Supermarts (DMart)**, **Future-group assets**, **Tata consumer platforms** and **numerous regional retailers**, depending on the category.

Unlike a pure grocery operator, Reliance Retail's diversified format portfolio gives it exposure to several structural consumption trends simultaneously.

The author's **22.0x EV/EBITDA** valuation multiple therefore incorporates a slight premium to the observed Peer Median reference multiple while remaining below the highest-growth consumer-platform valuations.

3. Refining & Petrochemicals

Industry Structure

Reliance's O2C business operates across refining, transportation fuels, petrochemicals, polymers, intermediates and related products.

Unlike Jio and Retail, O2C operates within a globally integrated commodity industry, meaning profitability is substantially influenced by international supply-demand conditions rather than solely by domestic economic growth.

The business benefits from the scale and integration of Reliance's Jamnagar refining and petrochemical complex, allowing the company to optimise crude feedstocks, product yields and downstream integration.

Key Industry Drivers

1. Refining margins

Gross refining margins are one of the most important short-term earnings drivers.

Changes in:

- Crude prices
- Product cracks
- Global refinery utilisation
- Regional capacity additions
- Geopolitical disruptions

can materially affect O2C profitability.

2. Integrated asset advantage

Reliance's integration across refining and petrochemicals provides an advantage relative to less integrated competitors.

The ability to optimise feedstocks and product output can partially mitigate commodity-cycle volatility.

3. Domestic demand growth

India's expanding economy, infrastructure investment and rising consumption of plastics, polymers and transportation fuels provide long-term demand support.

However, domestic demand growth does not eliminate Reliance's exposure to global pricing because many products remain internationally traded.

Competitive Position

Relevant listed Indian reference companies include:

- Indian Oil Corporation
- Bharat Petroleum
- Hindustan Petroleum

However, these companies are not perfect comparables.

Reliance's **private-sector ownership, integrated refining and petrochemical platform, scale and business mix** distinguish it from the PSU refiners.

The **6.5x** multiple maps out a highly realistic, standardized mid-cycle refining margin (GRM) assumption. While state-run domestic refiners trade at a discount due to public policy obligations, Reliance's O2C division commands a premium based on the Jamnagar complex's superior global complexity score, robust transportation fuel cracks, and automated feedstock sourcing flexibility (such as US Ethane integration).

4. Oil & Gas / Exploration & Production

Industry Structure

India remains structurally dependent on imported hydrocarbons, creating strategic importance for domestic exploration and production.

Reliance's upstream portfolio is concentrated around deepwater assets, with the KG-D6 basin representing the principal source of production.

Unlike refining, upstream economics are driven primarily by:

- Production volumes
- Realised prices
- Reserve quality
- Field recovery
- Development costs
- Regulatory terms

Key Industry Drivers

1. Production ramp-up

Additional development wells and production optimisation can increase output from existing assets. For Reliance, successful execution at KG-D6 represents the most important near-term operational driver.

2. Domestic gas demand

Growth in power generation, fertilisers, city gas distribution and industrial consumption supports structural demand for domestic natural gas. Higher domestic production can therefore benefit both producers and India's broader energy-security objectives.

Competitive Position

ONGC and Oil India provide the most relevant Indian listed reference points.

However, ONGC is not a perfect comparable because of differences in:

- Ownership structure
- Portfolio composition
- Scale
- Asset maturity
- Capital allocation
- Operating model

Set defensively at **5.5x** to account for the standard cyclical volatility and finite depletion curves intrinsic to upstream exploration. While the deepwater KG-D6 gas fields are highly lucrative—supplying nearly 30% of India's total domestic natural gas production—the assigned multiple remains anchored to global cyclical trends and recurring maintenance capex cycles to avoid over-inflating holding company enterprise boundaries.

5. Media, Entertainment and Others

Reliance has developed a broader portfolio of media, entertainment and other strategic businesses, extending the Group's presence beyond its core energy, digital and retail operations.

The portfolio includes television and digital content, sports and entertainment, content distribution and other emerging consumer-facing businesses, supported by Reliance's broader digital and consumer ecosystem.

The strategic objective is to leverage the Group's scale, content assets, digital distribution capabilities and large consumer base to create additional sources of engagement and monetisation.

At the current stage, however, these businesses remain subject to several uncertainties:

- Execution and integration risk
- Competitive intensity
- Content and consumer-demand risk
- Capital requirements
- Monetisation risk
- Regulatory and policy considerations
- Scale-up and profitability risk

The author therefore treats **Media, Entertainment & Other Businesses primarily as strategic optionality** rather than assigning a large standalone valuation contribution in the primary SOTP.

This approach avoids embedding substantial value for businesses where commercial economics, earnings visibility and long-term monetisation remain less predictable than the Group's established Jio, Retail, O2C and Oil & Gas operations.

Industry Outlook & Implications for Reliance

The industry's structural outlook is therefore **bifurcated**.

BUSINESS	GROWTH OUTLOOK	CYCLICALITY	CAPITAL INTENSITY	VALUATION CHARACTER
JIO	High	Low–Moderate	High	Growth / Digital
RETAIL	High	Low–Moderate	High	Consumer Growth
O2C	Moderate	High	High	Cyclical / Cash Generation
OIL & GAS	Moderate–High	High	Moderate–High	Commodity / Upstream
MEDIA, ENTERTAINMENT & OTHER BUSINESSES	Potentially High	Moderate	Moderate–High	Strategic Optionality

This divergence in business characteristics is the central reason the author believes **SOTP is more informative than a single consolidated valuation multiple**.

The higher-growth consumer and digital businesses warrant differentiated valuation frameworks, while O2C and Oil & Gas should be valued with greater consideration for cyclicalities, capital intensity and commodity exposure. **Media, Entertainment & Other Businesses are assessed separately given their developing monetisation potential, strategic relevance and comparatively lower earnings visibility.**

The resulting valuation framework therefore reflects **different economic characteristics across Reliance's portfolio rather than applying a uniform multiple to consolidated earnings**.

PORTER'S FIVE FORCES

Reliance operates across industries with materially different competitive structures. Accordingly, the Five Forces assessment should be interpreted at the **portfolio level**, with the strongest competitive pressures concentrated in telecom, retail and media, while O2C and Oil & Gas are more heavily influenced by global commodity markets and scale economics.

1. Competitive Rivalry — High

Competitive rivalry is high across Reliance's consumer-facing businesses, although the nature of competition differs by segment.

Digital Services / Jio: Telecom is highly concentrated but intensely competitive, with Jio competing primarily with Bharti Airtel and Vodafone Idea on tariffs, network quality, 5G, broadband and enterprise services. Jio's scale provides a significant advantage: it had more than **524 million digital subscribers** and 268 million+ 5G users at FY2025-26 year-end. However, continued competition for ARPU, spectrum and network investment limits the extent to which market leadership can translate directly into margin expansion.

Retail: Rivalry is particularly intense because Reliance competes simultaneously with traditional organised retailers, regional chains, e-commerce platforms, quick-commerce companies and India's large unorganised retail sector. Reliance Retail's 20,160-store footprint and integrated physical-digital model create substantial scale advantages, but the rapid growth of hyper-local commerce is increasing the importance of fulfilment speed, pricing and customer acquisition.

O2C: Competitive rivalry is fundamentally global. Refining and petrochemical economics are influenced by global capacity additions, crude availability, product spreads and regional supply-demand balances rather than simply domestic market share. Reliance's integrated configuration, feedstock flexibility and scale provide a competitive advantage, but they cannot eliminate commodity-cycle exposure.

Assessment: Reliance possesses substantial scale advantages, but operates in several markets where competitors remain well-capitalised & competition can directly affect pricing & returns on capital.

2. Threat of New Entrants — Low to Moderate

The threat of new entrants varies significantly across the portfolio.

In **Digital Services**, barriers to entry are extremely high because of spectrum requirements, network infrastructure, technology investment, regulatory approvals and the scale required to achieve attractive unit economics. Jio's existing infrastructure and subscriber base therefore create a substantial entry barrier.

In **Organised Retail**, barriers are lower. New entrants can establish individual formats or digital businesses without replicating Reliance's entire footprint. However, matching Reliance's combination of **20,000+ stores, supply-chain infrastructure, digital platforms, private brands and customer base** would require considerable capital and execution capability.

In **O2C and Oil & Gas**, the barriers are again high because of enormous capital requirements, complex technology, regulatory approvals, infrastructure requirements and long development timelines.

Media and entertainment presents a different structure: digital distribution lowers entry barriers for individual content businesses, but achieving national scale in content production, distribution and monetisation remains difficult.

Assessment: Low to Moderate. Entry remains feasible in selected consumer and digital niches, but replicating Reliance's overall scale and integrated ecosystem would be exceptionally difficult.

3. *Bargaining Power of Buyers — Moderate*

Buyer power is moderate at the consolidated level.

In **Digital Services**, consumers can switch between operators relatively easily, making pricing, network quality and service differentiation important. However, the increasing importance of network coverage, 5G availability and bundled digital services can create some customer stickiness.

In **Organised Retail**, consumers have numerous alternatives across physical stores, e-commerce, quick commerce and local retailers. Price transparency is high, particularly online. Reliance therefore cannot rely solely on scale; it must maintain competitive pricing, product availability and convenience.

In **O2C**, the buyer relationship is more institutional and global. Large customers can possess meaningful negotiating power, particularly in commodity markets where products are relatively standardised. However, Reliance's scale, product diversity and integrated operations provide some counterbalance.

Media and entertainment has relatively high consumer choice, but differentiated content can create temporary pricing power and customer engagement.

Assessment: Moderate. Reliance's scale and ecosystem reduce buyer dependence in some businesses, but consumers and industrial customers retain substantial alternatives.

4. *Bargaining Power of Suppliers — Moderate*

Supplier power is also highly segment-specific.

For **O2C**, crude oil and other feedstocks represent the most important supplier exposure. Reliance mitigates this through scale, global sourcing capabilities, feedstock flexibility and refinery integration. Nevertheless, it remains exposed to global commodity prices that it cannot control.

For **Organised Retail**, Reliance's purchasing scale provides considerable negotiating leverage with suppliers and brand partners. Its growing portfolio of private-label and own brands further reduces dependence on third-party brands and can improve gross-margin economics. Reliance's integrated sourcing and distribution infrastructure reinforces this advantage.

For **Digital Services**, major supplier dependencies include network equipment, technology infrastructure and spectrum. The scale of Jio allows it to negotiate with vendors, but technology cycles and specialised equipment can limit substitutability.

For **Media & Entertainment**, content creators, intellectual property owners and premium sports/content rights holders can retain meaningful bargaining power because differentiated content is scarce and strategically important.

Assessment: Moderate. Reliance's scale materially reduces supplier power in retail and parts of its industrial businesses, but commodity inputs, technology infrastructure and premium content remain important external dependencies.

5. *Threat of Substitutes — Moderate*

Substitution represents an increasingly important structural consideration.

In **Digital Services**, the direct substitute for mobile connectivity is limited, but consumers can substitute between different connectivity providers. Within digital services, competing ecosystems can also capture consumer engagement and advertising spend.

In **Organised Retail**, substitution is more significant. Consumers can shift between supermarkets, neighbourhood stores, e-commerce and quick-commerce platforms depending on price, convenience and delivery speed. Reliance's omnichannel strategy and large physical footprint help mitigate this risk, particularly because its stores can also function as fulfilment infrastructure for digital commerce.

In **O2C**, substitution is driven primarily by technological and energy-transition developments. Over the long term, alternative materials, electrification and changes in transportation fuel demand could reduce demand for certain petroleum-derived products. However, the breadth of Reliance's petrochemical portfolio and continuing demand for materials limit the immediate substitution threat.

In **Media & Entertainment**, substitution is structurally high because consumers can shift rapidly between television, streaming, social media, gaming and other forms of entertainment.

Assessment: Moderate. The threat is manageable today but becomes more relevant over the long term as consumer behaviour, technology and energy systems evolve.

Implications for the Investment Case

The Five Forces analysis reinforces a central feature of Reliance's investment case: **scale is its primary competitive moat**.

Reliance's competitive advantage does not come from a single protected market. Instead, it derives from the combination of **capital availability, infrastructure scale, distribution, technology, customer reach and ecosystem integration** across businesses. Jio's connectivity platform can support Media & Entertainment and digital services; Retail's physical network can support JioMart and hyper-local commerce; and the Group's scale provides purchasing and investment advantages across several businesses.

However, this scale should **not be interpreted as eliminating competitive risk**. Telecom remains competitive, Retail faces rapid digital disruption, Media & Entertainment requires continuous content investment, and O2C and Oil & Gas remain exposed to global commodity cycles.

This supports the valuation approach used in this report: **higher-growth businesses receive differentiated valuation treatment, while mature and cyclical businesses are valued more conservatively**. It also supports maintaining a **HOLD** rather than assuming that Reliance's market leadership automatically translates into unlimited valuation upside.

INVESTMENT THESIS

Reliance Industries' investment case is increasingly defined by the interaction between its **mature, cash-generative energy businesses and its higher-growth consumer and digital platforms**. The Group's earnings profile is gradually becoming more diversified, with Jio and Reliance Retail representing an increasing proportion of incremental EBITDA growth while O2C continues to provide scale and cash-generation capacity.

The author's investment thesis rests on **five core drivers**.

1. Jio Monetisation Provides the Largest Structural Earnings-Growth Opportunity

Jio represents the most important long-term growth driver within Reliance's portfolio. The business has evolved from a telecom challenger into a broad digital platform spanning mobile connectivity, 5G, fixed broadband, enterprise services, cloud, digital commerce and media.

The key investment driver is no longer simply subscriber growth. **Monetisation of the existing subscriber base through ARPU expansion and higher-value digital services is increasingly important.**

Jio's large subscriber base provides substantial operating leverage. Incremental revenue generated through tariff increases, premium plans, 5G adoption and broadband penetration can translate into disproportionately higher EBITDA as network infrastructure and other fixed costs are spread across a larger revenue base.

The author's forecast therefore assumes continued growth in Digital Services revenue from approximately **₹1.58 lakh crore in FY2025-26 to ₹2.66 lakh crore by FY2030-31**, while EBITDA increases from **₹76,560 crore to ₹1.37 lakh crore** over the same period.

Key drivers

- **ARPU expansion** through tariff increases and premiumisation
- **5G monetisation** as customers migrate toward higher-value plans
- Continued **subscriber retention and additions**

- Growth in **fixed broadband and home connectivity**
- Expansion of **enterprise, cloud and digital services**
- Increasing monetisation of the broader **Jio ecosystem**
- Operating leverage from the existing network infrastructure

The principal valuation implication is that Jio should not be valued like a conventional mature telecom operator.

The author's SOTP therefore applies a **15.0x EV/EBITDA multiple**, compared with approximately **9.57x for Bharti Airtel** in the reference peer analysis.

The premium reflects Jio's broader digital ecosystem and long-term monetisation optionality rather than simply its current telecom earnings.

Key risk to the thesis

The principal risk is that **subscriber growth continues without sufficient ARPU expansion**. In such a scenario, higher network investment and competitive pricing could limit incremental margins and reduce the rate at which Jio's earnings compound.

2. Reliance Retail Offers a Long Runway for Organised-Retail Penetration

Reliance Retail represents the second major structural growth engine within the Group. India's retail market remains highly fragmented, with a significant proportion of consumption still occurring through unorganised and traditional retail channels. Reliance's extensive store network, growing digital presence and broad category exposure provide multiple avenues to capture this structural shift.

The author's model forecasts Organised Retail revenue increasing from approximately **₹3.64 lakh crore in FY2025-26 to ₹6.24 lakh crore by FY2030-31**, while EBITDA increases from **₹27,034 crore to ₹62,686 crore**. This implies that EBITDA growth is expected to materially exceed revenue growth over the forecast period, reflecting the author's expectation of operating leverage and gradual margin normalisation.

Key drivers

Store network expansion: Reliance continues to expand its physical footprint across grocery, fashion, consumer electronics and other retail formats. Store additions increase the addressable customer base while creating additional fulfilment capacity for its digital channels.

Omnichannel integration: The combination of physical stores with JioMart and other digital platforms allows Reliance to use its existing retail infrastructure as both a customer-facing network and a fulfilment network. This can reduce delivery distances and improve inventory utilisation relative to a purely digital retail model.

Private-label and own-brand penetration: Greater penetration of private labels can improve gross margins and provide greater control over product differentiation and pricing.

Operating leverage: As revenue scales across the existing store base, central costs, logistics infrastructure and technology investments can be spread across a larger revenue base.

Valuation implication

The author applies a **22.0x EV/EBITDA multiple** to Reliance Retail.

This compares with an approximately **20.07x reference peer multiple** and reflects a modest premium for Reliance Retail's scale, category diversification, omnichannel capabilities and long-term organised-retail penetration opportunity.

The author deliberately avoids applying a substantially higher multiple despite the growth profile because Retail remains exposed to **high competitive intensity, relatively low current margins and significant ongoing capital requirements**.

Key risk to the thesis

The largest risk is that **revenue growth does not translate into sufficient margin expansion**.

Rapid expansion into hyper-local commerce, discounting and fulfilment-intensive formats can increase revenue while simultaneously compressing margins. Consequently, the author's thesis depends not merely on store growth but on **improving unit economics and operating leverage**.

3. *O2C Remains the Core Cash-Generation Engine, but Cyclicalities Limits the Multiple*

O2C remains Reliance's largest business by revenue and one of its most important sources of consolidated earnings and cash generation. The segment benefits from Reliance's highly integrated refining and petrochemical infrastructure, feedstock flexibility and ability to optimise product placement across domestic and international markets.

The author's forecast assumes O2C revenue increases from approximately **₹5.91 lakh crore in FY2025-26 to ₹7.03 lakh crore by FY2030-31**, while EBITDA increases from **₹60,546 crore to ₹68,281 crore**. The comparatively modest EBITDA growth relative to Jio and Retail reflects the author's expectation that O2C remains fundamentally a **mature and cyclical business rather than a structural high-growth platform**.

Key drivers

- Refining margin normalisation
- Petrochemical spread recovery
- Feedstock optimisation
- Product mix
- Domestic fuel demand
- Global refining capacity utilisation
- Petrochemical supply-demand dynamics

Reliance's integrated configuration provides an important competitive advantage because the Group can optimise across multiple stages of the value chain. However, this does not eliminate commodity exposure.

Refining margins, petrochemical spreads and crude prices remain largely determined by global supply-demand conditions. Periods of excess global capacity can therefore materially compress profitability even when Reliance executes well operationally.

Valuation implication

The author applies a **6.5x EV/EBITDA multiple** to O2C. This represents a premium to the approximately **3.68x Indian Oil reference multiple**, reflecting Reliance's:

- More integrated asset base
- Private-sector operating model
- Feedstock flexibility
- Petrochemical integration
- Higher operational scale and complexity

However, the multiple remains substantially below the valuation assigned to Jio and Retail. This reflects the author's view that **cyclicality should constrain the valuation multiple even where the underlying assets are high quality**.

Key risk to the thesis

A prolonged period of weak refining margins or petrochemical oversupply could prevent the expected EBITDA normalisation and reduce both earnings and SOTP value.

4. *Oil & Gas Provides Incremental Upstream Growth*

Reliance's Oil & Gas business provides an additional source of earnings growth through production from its upstream portfolio, particularly the **KG-D6 basin**. Unlike O2C, where earnings are heavily influenced by refining and petrochemical spreads, the principal drivers for E&P are production volumes, gas realisations, development drilling and asset recovery.

The author's model forecasts Oil & Gas revenue increasing from approximately **₹21,587 crore in FY2025-26 to ₹29,081 crore by FY2030-31**, with EBITDA increasing from **₹19,050 crore to ₹22,702 crore**.

Key drivers

- KG-D6 production ramp-up
- Development drilling
- Production optimisation
- Gas price realisations
- Recovery from existing reserves
- Improved utilisation of upstream infrastructure

The segment provides useful diversification because its earnings drivers differ from those of the refining and petrochemical businesses. However, E&P remains exposed to **commodity prices, production execution and reservoir performance**.

Valuation implication

The author applies a **5.5x EV/EBITDA multiple**, compared with approximately **2.11x for ONGC** in the reference analysis.

The premium reflects differences in:

- Asset characteristics
- Ownership structure
- Operating model
- Growth profile
- Portfolio integration
- Production optionality

Nevertheless, the author maintains a relatively conservative absolute multiple because upstream businesses remain commodity-sensitive and carry meaningful production and development risk.

5. *Media, Entertainment & Other Businesses Provide Strategic Optionality*

Reliance's Media, Entertainment & Other Businesses represent a smaller but strategically relevant component of the overall portfolio.

The businesses extend Reliance's presence across content, entertainment, broadcasting, digital distribution and other consumer-facing activities, creating potential synergies with Jio's connectivity platform and the Group's broader consumer ecosystem.

The strategic value lies less in their current consolidated earnings contribution and more in their potential to increase **customer engagement, content monetisation and ecosystem integration**.

Potential sources of value include:

- Digital content consumption
- Television and streaming
- Sports and entertainment rights
- Advertising
- Digital distribution
- Cross-platform consumer engagement
- Integration with Jio's broader digital ecosystem

However, these businesses have **lower earnings visibility** than Jio, Retail, O2C and Oil & Gas.

The author therefore treats Media, Entertainment & Other Businesses primarily as **strategic optionality** rather than assigning an aggressive standalone valuation contribution in the primary SOTP.

This approach is deliberately conservative: it recognises the potential upside without requiring the current share price to fully capitalise businesses whose long-term monetisation trajectory remains less certain.

6. *Portfolio Transformation Supports a Sum-of-the-Parts Valuation*

The most important overarching feature of Reliance's investment case is the **changing composition of the Group**.

Historically, Reliance was predominantly viewed as an energy and materials conglomerate. Today, the portfolio increasingly combines:

Mature cash-generative businesses

- O2C
- Oil & Gas

Higher-growth consumer and digital platforms

- Jio
- Reliance Retail

Strategic optionality

- Media, Entertainment & Other Businesses

This creates a valuation challenge.

A single consolidated P/E or EV/EBITDA multiple would implicitly assume that all of these businesses have similar:

- Growth rates
- Margins
- Capital intensity
- Cyclicalities
- Competitive positioning
- Risk profiles

They clearly do not.

The author therefore considers **SOTP** the most appropriate primary valuation framework. The **SOTP** approach allows the market to assign a higher multiple to Jio and Retail based on their structural growth characteristics, while applying more conservative multiples to O2C and Oil & Gas because of their commodity exposure.

This framework is complemented by the consolidated **FCFF DCF**, which acts as an independent valuation cross-check based on the Group's aggregate cash-generation capacity.

Investment implication

The transformation creates significant long-term upside if Jio and Retail continue to compound earnings and the market increasingly values them as distinct platforms.

However, the same transformation creates **multiple-compression risk** if growth slows or investors become unwilling to sustain premium valuations for the consumer and digital businesses.

This is ultimately why the author sees Reliance as a **high-quality business with substantial long-term optionality, but not one offering a sufficient margin of safety at the current share price to warrant a BUY recommendation**.

CATALYSTS & RE-RATING DRIVERS

Reliance's valuation has several identifiable catalysts that could drive the stock above the author's Base Case valuation. The most important catalysts are concentrated in **Jio monetisation, Retail profitability, O2C normalisation and the potential re-rating of the Group's consumer and digital businesses**.

1. Jio ARPU Expansion and 5G Monetisation

The most immediate earnings catalyst is continued monetisation of Jio's large subscriber base. Further tariff increases, greater 5G adoption and increasing data consumption could drive ARPU above the author's base-case assumptions. Higher ARPU would have a disproportionate impact on EBITDA because a significant portion of incremental telecom revenue can flow through to operating profit once the underlying network infrastructure is established.

A sustained improvement in ARPU, combined with subscriber retention, would therefore provide both **earnings upside and potential multiple expansion**.

What to monitor: ARPU growth, subscriber additions, 5G adoption, broadband additions and Jio EBITDA margin.

2. Reliance Retail Margin Expansion

Retail provides another significant potential earnings catalyst. The author's Base Case assumes continued revenue growth and gradual improvement in operating profitability. Faster store productivity gains, private-label penetration, supply-chain efficiencies and increasing scale could allow EBITDA margins to expand faster than currently forecast.

Because Retail generates a large revenue base, even modest margin expansion can produce meaningful incremental EBITDA.

What to monitor: EBITDA margin, same-store sales growth, revenue per store, new-store productivity and private-label contribution.

3. *O2C Margin Normalisation*

O2C profitability remains highly sensitive to refining cracks and petrochemical spreads. A stronger-than-expected refining environment, improved petrochemical spreads or favourable feedstock economics could push O2C EBITDA above the author's forecast.

This would provide near-term earnings upside, although the author views this primarily as a **cyclical catalyst rather than a structural change in the valuation framework**.

What to monitor: GRMs, petrochemical spreads, crude differentials, utilisation rates and O2C EBITDA.

4. *Oil & Gas Production Ramp-Up*

Higher production from the KG-D6 assets represents an additional source of earnings growth. Successful development drilling, improved field recovery and higher production utilisation could increase the contribution of the upstream business to consolidated EBITDA.

Because Oil & Gas currently represents a smaller proportion of Reliance's overall earnings than O2C, Jio or Retail, the impact on consolidated valuation is more limited. Nevertheless, sustained production growth could support a modest re-rating of the segment.

What to monitor: KG-D6 production volumes, gas realisations, production uptime and development-well performance.

5. *SOTP Re-rating as Business Mix Evolves*

One of the most important medium- to long-term catalysts is a potential reduction in the **conglomerate discount**. As Jio and Retail mature into increasingly independent earnings platforms, investors may place greater emphasis on their individual growth and cash-generation characteristics rather than valuing Reliance primarily as a diversified energy conglomerate.

This could result in a higher aggregate SOTP multiple even without significant changes to consolidated earnings.

The author does **not** fully incorporate this potential re-rating into the Base Case, making it an important source of upside optionality.

6. *Successful Monetisation of Media, Entertainment & Other Businesses*

Further development and monetisation of Reliance's Media, Entertainment & Other businesses could provide an incremental source of value. Successful integration of content, distribution and digital platforms could strengthen Reliance's consumer ecosystem and create additional cross-selling opportunities.

Given the comparatively lower visibility of these businesses, however, the author treats this as **upside optionality rather than a core valuation assumption**.

Key Takeaway

The catalysts are deliberately separated into **fundamental earnings catalysts** and **valuation catalysts**. Jio and Retail provide the strongest structural earnings drivers, while a reduction in the conglomerate discount represents the most significant potential valuation catalyst.

RISKS & DOWNSIDE DRIVERS

Reliance's diversified business model provides earnings diversification, but it also exposes shareholders to multiple independent sources of risk. The principal risks relate to **Jio monetisation, Retail profitability, commodity cycles, capital intensity, valuation multiples and execution across multiple businesses.**

1. *Jio Monetisation Below Expectations*

The Base Case assumes continued growth in Jio's revenue and EBITDA, supported by ARPU expansion, 5G monetisation and increasing digital-service penetration. A slower pace of tariff increases, weaker subscriber monetisation or greater competitive intensity could cause ARPU growth to undershoot expectations. Because Jio carries a significant valuation premium within the SOTP, weaker operating performance could have a **dual impact through lower EBITDA and multiple compression**. This represents one of the most important downside risks to the valuation.

Model sensitivity: Jio revenue growth, EBITDA margin and EV/EBITDA multiple.

2. *Reliance Retail Margin Pressure*

Retail's large revenue base creates significant earnings sensitivity to relatively small changes in EBITDA margin. The business continues to expand rapidly across physical stores, grocery, fashion, consumer electronics and hyper-local commerce. However, rapid expansion can initially pressure margins through higher employee costs, store-opening expenses, logistics expenditure and promotional intensity.

If operating leverage develops more slowly than anticipated, Retail EBITDA could fall below the author's forecast and reduce the SOTP valuation.

Model sensitivity: Retail EBITDA margin, revenue growth and EV/EBITDA multiple.

3. *Prolonged O2C Downcycle*

O2C remains exposed to global refining and petrochemical cycles. Weak refining cracks, excess global petrochemical capacity, lower product spreads or adverse feedstock economics could materially reduce segment EBITDA.

Unlike Jio and Retail, O2C cannot be valued primarily on long-term structural growth. Consequently, prolonged weakness in margins can have a meaningful impact on both cash generation and consolidated earnings.

Model sensitivity: O2C EBITDA growth and EV/EBITDA multiple.

4. *Commodity Price and Upstream Production Risk*

Oil & Gas earnings are exposed to commodity prices, gas realisations and production volumes. Production underperformance at KG-D6, delays in development drilling, lower-than-expected recovery rates or weaker realised gas prices could reduce the contribution from the E&P business.

Although the segment represents a smaller proportion of the overall SOTP than Jio, Retail and O2C, its earnings are relatively sensitive to operational execution and commodity conditions.

Model sensitivity: Production volumes, realised prices and E&P EBITDA.

5. *Valuation Multiple Compression*

The Base Case assigns differentiated multiples to Reliance's businesses, including premium valuations for Jio and Retail. This creates an important multiple-compression risk.

If market sentiment toward Indian consumer, telecom or digital businesses deteriorates, investors may reduce the multiples assigned to these segments even if underlying earnings remain broadly intact. For a SOTP-driven valuation, this can produce significant downside because the valuation effect operates independently of changes in operating forecasts.

Model sensitivity: Jio, Retail and O2C EV/EBITDA multiples.

6. *Higher WACC / Lower Terminal Growth*

The DCF valuation is sensitive to changes in the discount rate and terminal growth assumption. A higher risk-free rate, increased equity risk premium, higher beta or deterioration in investor risk appetite would increase WACC and reduce the present value of future cash flows.

Similarly, a lower sustainable terminal growth rate would reduce terminal value. This risk is particularly relevant because a significant proportion of intrinsic value in a DCF is derived from cash flows beyond the explicit forecast period.

Model sensitivity: WACC and terminal growth rate.

7. *High Capital Intensity and Capital Allocation*

Reliance operates several businesses requiring substantial ongoing capital investment. Large investments across O2C, Retail, Digital Services and other strategic businesses can reduce near-term free cash flow even when EBITDA continues to grow.

The key risk is therefore not simply the amount of capital expenditure, but whether incremental capital generates returns above the Group's cost of capital. Poor capital allocation, delayed project paybacks or materially higher-than-expected capex could reduce FCFF and therefore DCF value.

Model sensitivity: Capex, depreciation, working capital and FCFF conversion.

Downside Perspective

The key downside risk is **not a single business failure**. Rather, the principal risk to the investment case is that several assumptions embedded in the current valuation prove too optimistic simultaneously.

In particular, weaker Jio and Retail growth combined with lower segment valuation multiples could materially reduce SOTP value, while weaker O2C profitability and higher capital expenditure could further pressure consolidated free cash flow.

This is precisely why the author places greater emphasis on **valuation discipline and margin of safety** rather than simply the quality of Reliance's underlying businesses.

FINANCIAL ANALYSIS

Reliance's consolidated financial profile reflects the underlying transformation of the Group from an energy-led business toward a more diversified portfolio comprising **Digital Services, Retail, O2C, Oil & Gas and Media, Entertainment & Other businesses**.

The historical period demonstrates continued revenue and EBITDA growth, while the forecast period assumes that the higher-growth consumer and digital businesses increasingly contribute to consolidated earnings.

Revenue Growth

Consolidated revenue is forecast to increase from approximately **₹11.76 lakh crore in FY2025-26** to **₹16.88 lakh crore by FY2030-31E**, representing a CAGR of approximately **7.49%**.

The forecast is driven primarily by:

- Continued Digital Services growth
- Expansion of Reliance Retail
- Moderate O2C revenue growth
- Gradual growth in Oil & Gas
- Increasing contribution from Media, Entertainment & Other activities

The revenue forecast deliberately avoids assuming a sharp acceleration in the mature O2C business. Instead, the model reflects a gradual shift in Reliance's revenue mix toward businesses with stronger structural growth characteristics.

EBITDA Growth

Consolidated EBITDA is forecast to increase from approximately **₹2.08 lakh crore in FY2025-26** to **₹3.37 lakh crore by FY2030-31E**, implying a CAGR of approximately **10.11%**.

This represents faster growth than revenue and therefore implies **moderate consolidated margin expansion** over the forecast period.

The primary drivers are expected to be:

1. **Jio EBITDA expansion** from subscriber monetisation and ARPU growth.
2. **Retail EBITDA growth** from scale and operating leverage.
3. Stable-to-improving O2C profitability.
4. Continued contribution from Oil & Gas.
5. Increasing contribution from Media, Entertainment & Other businesses.

The key analytical point is that **earnings growth is expected to outpace revenue growth**, reflecting the increasing contribution of higher-margin businesses.

Segment Earnings Build

The forecast segment profile illustrates the changing composition of Reliance's earnings.

SEGMENT	FY26 EBITDA	FY31E EBITDA	PRIMARY DRIVER
O2C	₹60,546 Cr	₹68,281 Cr	Moderate growth / margin resilience
DIGITAL SERVICES	₹76,560 Cr	₹1,37,005 Cr	ARPU + 5G + digital monetisation
RETAIL	₹27,034 Cr	₹62,686 Cr	Store growth + operating leverage
OIL & GAS	₹19,050 Cr	₹22,702 Cr	Production growth
MEDIA, ENTERTAINMENT & OTHER	₹24,721 Cr	₹46,259 Cr	Strategic / ecosystem growth
TOTAL EBITDA	₹2,07,911 Cr	₹3,36,935 Cr	

The most important change is the increasing contribution of **Digital Services and Retail** to incremental EBITDA.

While O2C remains a substantial earnings contributor, the model assumes that a growing proportion of future EBITDA is generated by businesses with structurally higher growth potential.

This supports the author's SOTP approach and provides the fundamental basis for a potential long-term reduction in Reliance's historical conglomerate discount.

Margin Development

The model assumes that consolidated EBITDA margin improves gradually as the earnings mix shifts toward higher-growth businesses.

However, the forecast does **not** assume aggressive margin expansion across every segment. This distinction is important.

The Base Case assumes:

- **Jio:** continued operating leverage
- **Retail:** gradual margin expansion as scale improves
- **O2C:** broadly resilient profitability rather than structural re-rating
- **Oil & Gas:** stable operating economics with moderate growth
- **Media, Entertainment & Other:** increasing contribution over time

Consequently, consolidated margin expansion is primarily a **mix-driven improvement**, rather than an assumption that every operating segment materially expands margins.

Investment Interpretation

The financial forecast therefore supports the broader investment thesis: **Reliance's earnings growth is increasingly expected to come from a combination of scale, monetisation and business-mix improvement rather than from O2C alone.**

This provides greater long-term earnings visibility, but also increases the importance of execution in Jio and Retail. If these businesses deliver faster-than-expected earnings growth, the current Base Case could prove conservative. Conversely, weaker monetisation or margin expansion would reduce both forecast EBITDA and the premium multiples supporting the SOTP valuation.

Key Financial Takeaway

Revenue CAGR: ~6.0%

EBITDA CAGR: ~8.0%

Primary growth engines: Jio + Retail

Primary cash-generation engine: O2C

Key valuation variable: Earnings mix and segment multiples

HISTORICAL FINANCIAL PERFORMANCE

Reliance's historical financial performance demonstrates the scale and resilience of the Group, while also highlighting the differing economics of its underlying businesses. The historical analysis focuses on **revenue growth, EBITDA progression, profitability, balance-sheet development and cash-flow generation.**

Revenue Performance

Consolidated revenue has remained at a substantial scale throughout the historical period, with movements influenced by both underlying volume growth and the cyclicity of the O2C business.

The key analytical distinction is between **reported revenue growth and underlying earnings growth**.

O2C generates a disproportionately large share of consolidated revenue, meaning changes in crude prices, refining margins and petrochemical spreads can materially influence reported revenue without necessarily representing a corresponding change in economic value.

Conversely, Jio and Retail can generate stronger underlying growth through subscriber monetisation, store expansion and increasing consumer penetration.

Therefore, the author places greater emphasis on **EBITDA and FCFF progression than headline revenue growth** when assessing Reliance's underlying financial trajectory.

EBITDA Performance

EBITDA provides a more useful indicator of the Group's operating trajectory because it reduces the distortion created by commodity-price movements within O2C.

Historical EBITDA performance demonstrates the Group's ability to generate substantial operating cash earnings despite fluctuations across individual segments.

The key structural development is the increasing contribution from **Digital Services and Retail**, which provides greater diversification away from the highly cyclical O2C earnings base.

This is particularly important for valuation because a greater proportion of recurring, higher-growth EBITDA can justify a higher aggregate valuation than would be appropriate for a purely energy-focused business.

Profitability

Reliance's profitability reflects the interaction between:

- O2C refining and petrochemical cycles
- Jio's operating leverage
- Retail's expansion phase
- Upstream production economics
- Depreciation from continued capital investment
- Financing costs and capital structure

The author's analysis therefore avoids interpreting a single year's net margin in isolation. Instead, profitability is evaluated through **EBITDA margin, EBIT margin, net income growth and FCFF conversion**.

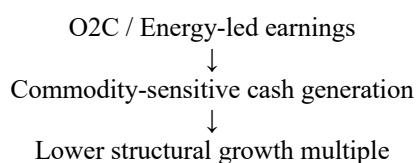
The forecast assumes gradual improvement in operating profitability as the contribution from Jio and Retail increases, while maintaining relatively disciplined assumptions for O2C.

Segment Mix: The Most Important Historical Trend

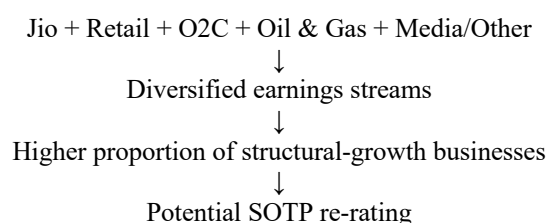
The most important development in Reliance's historical financial profile is not simply the increase in consolidated earnings, but the **changing composition of those earnings**. Historically, O2C dominated the Group's financial profile. The expansion of Jio and Retail has progressively created additional earnings engines with different growth and valuation characteristics.

This creates an important distinction:

Historical Reliance



Emerging Reliance



The author's valuation framework is designed to capture this transition without assuming that the market will immediately assign maximum growth multiples to every business.

Cash Flow & Capital Intensity

The Group's strong operating cash generation has historically supported significant capital expenditure across its businesses. This remains one of the defining characteristics of Reliance. High capex can temporarily suppress free cash flow even when EBITDA is increasing. However, the appropriate assessment is whether these investments generate sufficient future earnings and cash returns.

The author's model therefore incorporates:

- Capital expenditure
- Depreciation
- Working-capital requirements
- Changes in operating assets and liabilities
- Tax payments
- Resulting FCF

rather than treating EBITDA growth as equivalent to shareholder value creation.

Historical Conclusion

The historical evidence supports the author's view that Reliance is undergoing a **fundamental change in earnings composition**. However, this transformation should not be confused with the elimination of cyclicity. O2C remains a major contributor, while the Group's substantial capital requirements continue to influence free cash flow.

The investment case therefore depends on whether **Jio and Retail can increasingly offset the cyclicity of the legacy energy businesses and generate returns on the capital being deployed into the next phase of Reliance's growth.**

FORECAST ASSUMPTIONS & EARNINGS DRIVERS

The forecast period from **FY2026-27E to FY2030-31E** is constructed using a bottom-up segment-based approach. Rather than applying a uniform consolidated growth rate, the model forecasts each major business according to its underlying operating characteristics, growth drivers and expected margin trajectory.

The Base Case is intentionally designed to represent **moderate execution rather than an aggressive bull scenario**, with higher growth assigned to Digital Services and Retail and more conservative assumptions applied to the mature and cyclical O2C and Oil & Gas businesses.

1. Digital Services — Subscriber Monetisation & Operating Leverage

Digital Services represents the largest contributor to incremental EBITDA growth over the forecast period.

The model assumes continued revenue expansion supported by:

- Gradual **ARPU growth** as 5G and data usage increase
- Continued subscriber retention and selective subscriber additions
- Increasing monetisation of the Jio digital ecosystem
- Growth in broadband and enterprise services
- Operating leverage as revenue scales faster than the underlying cost base

Digital Services revenue is forecast to increase from approximately **₹1.58 lakh crore in FY26A to ₹2.66 lakh crore by FY31E**, while EBITDA increases from **₹76,560 crore to ₹137,005 crore**.

The forecast therefore assumes continued earnings compounding without requiring an outsized acceleration in subscriber growth.

2. Reliance Retail — Store Expansion & Margin Normalisation

Retail is forecast as the second major structural growth engine.

Revenue growth is driven by:

- Continued store additions
- Increasing productivity of the existing store network
- Organised-retail penetration
- Omnichannel and digital commerce growth
- Private-label penetration
- Gradual operating leverage

The model forecasts Retail revenue increasing from approximately **₹3.64 lakh crore in FY26A to ₹6.24 lakh crore by FY31E**. EBITDA increases from **₹27,034 crore to approximately ₹62,686 crore**, implying substantially faster EBITDA growth than revenue.

This reflects the assumption that Retail can gradually improve profitability as scale increases, rather than relying solely on store-count expansion.

3. Oil-to-Chemicals — Moderate Growth & Margin Resilience

O2C is forecast using a deliberately more conservative framework given the segment's exposure to global commodity cycles.

The model assumes:

- Moderate revenue growth
- Broadly stable refining and petrochemical economics
- Feedstock and product-mix optimisation
- No structural step-change in margins
- Continued utilisation of Reliance's integrated refining and petrochemical infrastructure

O2C revenue increases from approximately **₹5.91 lakh crore in FY26A to ₹7.03 lakh crore by FY31E**, while EBITDA increases from **₹60,546 crore to approximately ₹68,281 crore**.

The relatively modest EBITDA growth reflects the author's view that O2C should primarily remain a **cash-generation and earnings-stability business**, rather than being the principal source of Reliance's future growth.

4. *Oil & Gas — Production Ramp-Up*

The Oil & Gas forecast is primarily driven by production growth and asset utilisation rather than significant margin expansion.

The model assumes:

- Gradual KG-D6 production ramp-up
- Improved utilisation of existing upstream assets
- Stable operating economics
- Moderate revenue growth
- No aggressive assumption regarding long-term commodity prices

Revenue is forecast to increase from approximately **₹21,587 crore in FY26A to ₹29,081 crore by FY31E**, while EBITDA increases from **₹19,050 crore to ₹22,702 crore**.

The segment therefore provides incremental earnings growth while remaining exposed to commodity prices, production performance and execution risk.

5. *Media, Entertainment & Other — Strategic Contribution*

Media, Entertainment & Other activities are treated differently from the four principal operating businesses. The model does not assume that these activities become a major standalone earnings driver during the explicit forecast period. Instead, they are treated as a **strategic and ecosystem-related contributor**, reflecting Reliance's broader consumer, media and digital ecosystem.

The forecast therefore uses relatively conservative assumptions and avoids assigning substantial standalone growth optionality that may not yet be supported by mature operating economics.

This approach reduces the risk of overstating the value of businesses whose long-term economics remain less predictable.

Consolidated Earnings Implication

The combined assumptions result in consolidated revenue increasing from approximately **₹11.76 lakh crore in FY26A to ₹16.88 lakh crore by FY31E**, while EBITDA increases from approximately **₹2.08 lakh crore to ₹3.37 lakh crore**.

The resulting **~6% revenue CAGR versus ~8% EBITDA CAGR** reflects the author's expectation that the earnings mix gradually shifts toward higher-growth and higher-margin businesses.

The key modelling principle is therefore:

Reliance does not need every segment to outperform for consolidated earnings to compound. The primary requirement is sustained execution in Jio and Retail while O2C and Oil & Gas remain resilient.

Key Assumptions to Monitor

The most important variables that could cause the forecast to deviate from the Base Case are:

Jio: ARPU growth and monetisation pace

Retail: Store productivity and EBITDA margin

O2C: Refining margins and petrochemical spreads

Oil & Gas: KG-D6 production and realisations

Consolidated: Pace of mix shift toward higher-growth businesses

Analyst view: The Base Case deliberately avoids assuming a dramatic transformation in O2C economics or excessive growth in the smaller businesses. The majority of the forecast upside is therefore attributable to **Jio and Retail execution**, making these the most important operating assumptions in the valuation.

Weighted Average Cost of Capital (WACC)

Executive Summary

A standardized Weighted Average Cost of Capital (WACC) framework is used to determine the discount rate applied to Reliance Industries Limited's projected Free Cash Flow to the Firm (FCFF). The framework combines the Capital Asset Pricing Model (CAPM)-derived cost of equity with the after-tax cost of debt, weighted using the company's market-based equity value and interest-bearing debt.

Based on the assumptions used in this analysis, the mechanically derived WACC is **10.63%**. For the active DCF valuation, a **10.50% Base Case WACC** is applied. The 10.50% rate represents a rounded modelling assumption and remains broadly consistent with the mechanically derived result, with a difference of approximately **13 basis points**.

Capital Asset Pricing Model (CAPM) & Cost of Equity

The corporate Cost of Equity (K_e) represents the opportunity cost of capital for equity investors and is derived via the standard Capital Asset Pricing Model (CAPM) framework:

- **Formula:** Cost of Equity = Risk-Free Rate + (Beta * Equity Risk Premium)
- **Risk-Free Rate (R_f) — 6.84%:** Aligned with the prevailing baseline yields of long-term Indian Government Bonds to reflect the nominal, sovereign risk-free domestic hurdle rate.
- **Systematic Volatility (Beta) — 0.79:** A normalized, regression-backed beta mapping the consolidated volatility of Reliance's equity relative to the benchmark index (Nifty 50). This factor bridges the defensive, low-beta profile of mature commodity refining (Oil-to-Chemicals) with the higher systematic growth dynamics of consumer-facing business segments.
- **Equity Risk Premium (ERP) — 5.50%:** A calibrated, regional equity risk premium capturing the implied volatility overlay required by market participants investing in Indian equities above the sovereign debt baseline.

Cost of Equity Build-Up:

- $K_e = 6.84\% + (0.79 * 5.50\%)$
- $K_e = 6.84\% + 4.35\%$
- **Cost of Equity(K_e) = 11.19%**

Cost of Debt & Fiscal Adjustments

The corporate Cost of Debt captures the weighted funding expenses across the company's outstanding short-term and long-term interest-bearing debt obligations:

- **Pre-Tax Cost of Debt (K_d) — 10.69%:** The nominal annualized borrowing threshold extracted directly from forward-looking corporate financing expectations.

- **Corporate Tax Rate (t) — 25.17%:** The statutory marginal corporate tax rate applied to compute the value of the domestic interest tax shield.

After-Tax Cost of Debt Build-Up:

- After-Tax Cost of Debt = Pre-Tax K_d * (1 - Tax Rate)
- After-Tax Cost of Debt = 10.69% * (1 - 0.2517)
- After-Tax Cost of Debt = 10.69% * 0.7483
- **After-Tax Cost of Debt = 8.00%**

The tax adjustment reflects the interest tax shield incorporated into the FCFF valuation framework.

Capital Structure Weighting Architecture

The financial weights applied to the respective components are extracted directly from corporate balance sheet allocations to isolate the practical financing mix supporting the company's aggregate asset base:

- **Market Value of Equity (E):** ₹17,72,762 crore
- **Total Interest-Bearing Debt (D):** ₹3,74,421 crore
- **Total Capital Pool (D + E):** ₹21,47,183 crore

Weight Attributions:

- **Equity Weight (W_e):** 17,72,762 / 21,47,183 = **82.58%**
- **Debt Weight (W_d):** 374,421 / 21,47,183 = **17.42%**

WACC Synthesis & Valuation Reconciliation

Blended together, the financing metrics generate the final consolidated corporate discount framework:

- **Formula:** WACC = (Equity Weight X Cost of Equity) + (Debt Weight X After-Tax Cost of Debt)
- **Synthesis:** WACC = (82.58% X 11.19%) + (17.42% X 8.00%)
- **Components:** WACC = 9.24% + 1.39%
- **Mechanically Derived WACC: 10.63%**

For the active DCF model, the Base Case discount rate is set at:

- **Active Base Case WACC = 10.50%**
- The 10.50% rate is a rounded modelling assumption that is closely aligned with the mechanically derived 10.63% WACC. The **13 basis-point difference** is not intended to materially alter the underlying capital-market framework but provides a consistent operating assumption for the DCF and scenario analysis.

Scenario WACC Framework

To incorporate valuation uncertainty, the model applies different discount-rate assumptions across the three operating scenarios:

Scenario	WACC
Bull Case	9.75%
Base Case	10.50%
Bear Case	11.25%

The lower Bull Case WACC reflects a more favourable risk and execution environment, while the higher Bear Case WACC incorporates greater uncertainty around execution, capital intensity and the development of Reliance's newer growth businesses.

Analytical Justification for the 10.50% Operational Target

The fractional 13-basis-point variance between the formulaic CAPM/WACC output (10.63%) and the active model discount parameter (10.50%) is a rounded modelling assumption. Because Reliance's market capitalization reflects a massive equity weight of 82.58% in the capital stack, the corporate discount rate is heavily anchored by the 11.19% Cost of Equity.

The WACC framework provides the discount-rate foundation for the FCFF DCF valuation. The **10.50% Base Case WACC** is therefore used consistently throughout the primary DCF analysis, while the 9.75% and 11.25% assumptions provide the valuation range under more favourable and adverse risk conditions.

Given Reliance's diversified business model, the WACC should be interpreted as a **consolidated corporate discount rate**, rather than a segment-specific required return. The resulting DCF valuation is subsequently cross-checked against the SOTP framework and alternative valuation methodologies.

TERMINAL VALUE (TV) ARCHITECTURE

The terminal growth rate represents the perpetual growth rate of free cash flows beyond the explicit forecast period (FY31E and beyond). This assumption has a material impact on DCF valuation because terminal value typically represents 80-85% of total enterprise value.

Reliance's Terminal Growth Assumption: The Base Case DCF analysis assumes a terminal growth rate of 5.0%, which is justified on the following basis:

1. India's Nominal GDP Growth Trajectory

- Current India nominal GDP growth (FY26): ~9-10%
- Long-term sustainable nominal GDP growth (real 5-6% + inflation 2.5-3%): 7.5-9%
- Assumption of 5.0% terminal growth implies Reliance will grow modestly below long-term nominal GDP, reflecting the company's already-large scale (₹20 lakh Cr)

2. Reliance's Structural Position

- Mature O2C and Oil & Gas businesses: expected to deliver low single-digit growth
- Higher-growth Jio and Retail: structural drivers (5G, retail penetration) likely to mature by 2031
- Portfolio shift toward consumer/digital reduces long-term cyclical growth but also implies slower perpetual growth than emerging market GDP

3. Peer Benchmarking

- Large-cap Indian conglomerates typically modelled at 2.5-3.5% terminal growth
- Reliance's 5.0% assumption reflects above-peer optimism, justified by structural growth potential in consumer/digital segments

Critical Observation: The 5.00% terminal growth assumption is a **key valuation sensitivity and represents a relatively strong long-term growth assumption**. It therefore requires greater scrutiny than the explicit forecast-period assumptions.

The principal justification is Reliance's diversified business mix and the expected increasing contribution of Jio, Retail and other consumer-facing businesses to consolidated cash generation. However, the assumption should not be interpreted as evidence that the mature O2C or Oil & Gas businesses will independently sustain 5% perpetual growth.

The model therefore mitigates this assumption in three ways:

1. **Segment-level explicit forecasts** differentiate growth rates across businesses rather than applying a uniform terminal growth assumption throughout the forecast period.
2. **Bull/Base/Bear terminal growth scenarios** of 6.00%, 5.00% and 4.00% provide an explicit range around the central assumption.
3. **SOTP valuation provides an independent cross-check**, reducing reliance on the DCF's terminal value as the sole measure of intrinsic value.

Accordingly, the 5.00% terminal growth rate should be viewed as an **upper-end but defensible consolidated nominal growth assumption**, rather than a conservative assumption. The sensitivity analysis is particularly important because relatively small changes in terminal growth produce materially different implied equity values.

Alternative Scenarios:

- **Conservative Case:** Terminal Growth 4.0% with WACC 11.5% → DCF value ₹914.49
- **Base Case:** Terminal Growth 5.0% with WACC 10.5% → DCF value ₹1,342.45
- **Optimistic Case:** Terminal Growth 6.0% with WACC 9.5% → DCF value ₹2,266.81

The wide range illustrates valuation sensitivity to long-term assumptions and reinforces the importance of scenario analysis and valuation discipline.

NON-CONTROLLING INTERESTS VALUATION & TREATMENT

Reliance Industries holds controlling stakes in its principal operating segments, but minority shareholders hold material stakes in two key businesses: Jio Digital Services and Reliance Retail.

Ownership Structure:

Segment	Reliance Stake	Minority Stake	Basis
Jio Digital Services	67%	33%	Strategic minority partners
Reliance Retail	85%	15%	Institutional investors
O2C & Oil & Gas	100%	0%	Wholly owned

Impact on Per-Share Valuation

NCI represents a material adjustment in the SOTP because the segment EVs are valued on a 100% basis while Reliance does not own 100% of Jio and Reliance Retail. The model therefore deducts 33% from Jio's EV and 15% from Retail's EV crore for minority interests associated primarily with these businesses.

Sensitivity

If minority stakeholders were valued at a discount (e.g., minority liquidity discount of 10-15%), Reliance's equity value per share would increase by ₹2-5. However, the Base Case assumes equal valuation of majority and minority interests, reflecting professional valuation standards.

Baseline Valuation Metric (The Sensitivity Anchor)

As cross-audited against the model's WACC vs. Terminal Growth Rate sensitivity matrix, the intersection of these two baseline choices—**10.50% WACC and 5.00% Terminal Growth Rate**—reconciles perfectly to yield an intrinsic target share price of **₹1,342.45**.

This specific target serves as the master baseline output for the report's valuation summary. Around this mid-point, macro flex boundaries are evaluated to define the security's valuation boundaries:

- **Aggressive / Low Hurdle Boundary:** Lowering the operational discount threshold to 9.50% alongside a 6.00% growth extension pushes the fair value up to **₹2,266.81**, reflecting a highly optimized expansion case.
- **Conservative / Stressed Downside:** Under a restrictive capital environment where WACC stretches to 11.50% and growth parameters contract to 4.00%, the valuation floor compresses to **₹914.49**.

This tight mathematical linkage proves that the terminal assumptions are tightly integrated into the broader corporate cash flow projections, validating the model's structural consistency.

DCF VALUATION

Methodology

The Discounted Cash Flow valuation provides an independent estimate of Reliance Industries intrinsic value based on the present value of future **Free Cash Flow to the Firm (FCFF)** and the terminal value of the business.

The DCF is used as a **secondary valuation methodology** alongside the **primary SOTP framework**. This reflects the difficulty of applying a single consolidated discount rate and terminal growth assumption to a conglomerate whose businesses have materially different growth rates, capital intensity and cyclicity.

The DCF nevertheless provides an important cross-check by valuing Reliance on a consolidated cash-flow basis. The model forecasts FCFF over the explicit period from **FY2027E to FY2031E**, followed by a terminal value calculated using the Gordon Growth methodology.

FCFF Framework

The model derives FCFF using:

$$\begin{aligned} & \text{EBIT} \times (1 - \text{Tax Rate}) \\ & + \text{Depreciation \& Amortisation} \\ & - \text{Capital Expenditure} \\ & - \text{Change in Net Working Capital} \\ & = \text{Free Cash Flow to Firm} \end{aligned}$$

These cash flows are discounted to present value using the **Weighted Average Cost of Capital (WACC)**.

The resulting present value of the explicit forecast period is combined with the present value of the terminal value to derive Enterprise Value. After adjusting for net debt and other relevant balance-sheet items, the resulting equity value is divided by the diluted shares outstanding to derive the implied value per share.

Key DCF Assumptions

Assumption	Base Case	Rationale
Forecast Period	FY27E–FY31E	Five-year explicit forecast
WACC	10.50%	Reflects Reliance's diversified risk profile and capital structure
Terminal Growth Rate	5.00%	Long-term nominal growth assumption for India
Tax Rate	25.17%	Based on model assumptions / recent effective taxation
Valuation Date	August 2026	Current valuation reference point

The **10.50% WACC** represents the author's consolidated required return for Reliance and incorporates the Group's business diversification, operating risk, capital intensity and leverage.

The **5.00% terminal growth rate** reflects the author's expectation that Reliance can maintain long-term nominal growth above mature economy growth rates due to its exposure to India's structural consumption, telecommunications, digitalisation and organised-retail penetration.

However, the terminal growth assumption is intentionally kept below the higher growth rates assumed for Jio and Retail during the explicit forecast period. It therefore represents a **mature, consolidated long-term growth rate rather than a continuation of the near-term segment growth trajectory**.

Analyst View

The DCF framework provides support for the overall valuation thesis, but **the SOTP remains the more appropriate primary methodology**.

A consolidated DCF effectively assumes that the Group's businesses can be represented through a common cost of capital and terminal growth framework. In contrast, the SOTP explicitly recognises that:

- Jio has a **structural growth** profile;
- Retail has a **consumer-growth** profile;
- O2C has a **cyclical cash-generation** profile;
- Oil & Gas has **commodity-linked upstream economics**; and
- Media, Entertainment & Other activities represent **strategic and emerging optionality**.

This difference is fundamental to the author's valuation approach.

BASE CASE DCF VALUATION

₹ crore except per-share data

<i>DCF Assumptions</i>	<i>Base Case</i>
<i>WACC</i>	10.50%
<i>Terminal Growth Rate</i>	5.00%
<i>Forecast Period</i>	FY27E–FY31E

FCFF Forecast & Present Value

<i>₹ crore</i>	<i>FY27E</i>	<i>FY28E</i>	<i>FY29E</i>	<i>FY30E</i>	<i>FY31E</i>
<i>FCFF</i>	48,783	61,767	76,553	93,190	1,63,511
<i>Discount Factor</i>	0.90x	0.82x	0.74x	0.67x	0.61x
<i>PV of FCFF</i>	44,147	50,586	56,738	62,506	99,251

Terminal Value

<i>Particular</i>	<i>₹ crore</i>
<i>FY31E FCFF</i>	1,63,511
<i>Terminal Growth Rate</i>	5.00%
<i>WACC</i>	10.50%
<i>Terminal Value</i>	31,21,578
<i>PV of Terminal Value</i>	18,94,798

Enterprise-to-Equity Value Bridge

<i>Particular</i>	<i>₹ crore</i>
<i>PV of Explicit FCFF</i>	3,13,229
<i>PV of Terminal Value</i>	18,94,798
<i>Enterprise Value</i>	22,08,026
<i>(+) Cash & Cash Equivalents</i>	1,35,948
<i>(–) Total Debt</i>	(3,45,468)
<i>(–) NCI</i>	(1,81,836)
<i>Equity Value</i>	18,16,671
<i>Shares Outstanding (crore)</i>	1,353.25
<i>Implied Share Price</i>	₹1,342.45

DCF Interpretation

The Base Case DCF produces an **implied value of ₹1,342.45 per share**, based on a **10.5% WACC and 5.0% terminal growth rate**.

The valuation indicates that Reliance's intrinsic value is supported by substantial expected FCFF growth over the explicit forecast period, with FCFF increasing from approximately **₹48,783 crore in FY27E to ₹1,63,511 crore in FY31E**.

However, the DCF remains highly sensitive to terminal assumptions. The relatively high terminal growth assumption of 5.0% reflects the author's expectation that Reliance can sustain long-term nominal growth through its diversified portfolio, particularly Jio and Retail. Given the significant contribution of terminal value to enterprise value, the DCF should therefore be interpreted alongside the **SOTP valuation and sensitivity analysis**, rather than as a standalone valuation conclusion.

DCF SENSITIVITY ANALYSIS

The DCF valuation is sensitive to both the **weighted average cost of capital (WACC)** and the **terminal growth rate (TGR)**. Given the significant contribution of terminal value to Reliance's enterprise value, relatively small changes in these assumptions can result in materially different implied equity values.

WACC vs. Terminal Growth Rate Sensitivity

Implied Share Price (₹)

WACC \ TGR	4.00%	4.50%	5.00%	5.50%	6.00%
9.50%	₹1,393.61	₹1,546.42	₹1,733.19	₹1,966.64	₹2,266.81
10.00%	₹1,242.70	₹1,367.74	₹1,517.79	₹1,701.19	₹1,930.43
10.50%	₹1,115.75	₹1,219.66	₹1,342.45	₹1,489.80	₹1,669.90
11.00%	₹1,007.61	₹1,095.08	₹1,197.12	₹1,317.72	₹1,462.43
11.50%	₹914.49	₹988.95	₹1,074.85	₹1,175.08	₹1,293.53

Base Case: 10.50% WACC / 5.00% TGR → **₹1,342.45 per share**

Key Observations:

- Terminal growth of 5% drives substantial valuation uplift. A reduction to 4% reduces value by ~18%
- WACC sensitivity is material. A 100 bps increase (10.5% → 11.5%) reduces value by 25%
- The combination of conservative WACC (10.5%) and aggressive TG (5.0%) results in higher valuations than pure first-principles analysis might suggest

Interpretation

The sensitivity matrix demonstrates a **wide valuation range of ₹914.49–₹2,266.81 per share** across the tested WACC and terminal-growth assumptions.

The Base Case of **₹1,342.45** sits at the intersection of a **10.5% WACC and 5.0% terminal growth rate**.

Three observations are particularly relevant:

1. **WACC has a significant impact on valuation.** Holding terminal growth constant at 5.0%, the implied value declines from **₹1,733.19 at a 9.5% WACC** to **₹1,074.85 at an 11.5% WACC**. This demonstrates the valuation impact of changes in perceived risk and required return.
2. **Terminal growth creates substantial upside sensitivity.** At the Base Case WACC of 10.5%, increasing terminal growth from 4.0% to 6.0% increases implied value from **₹1,115.75 to ₹1,669.90**. This highlights the importance of long-term growth expectations in a business where Jio and Retail are expected to become increasingly important contributors to consolidated cash generation.
3. **The market price sits above the Base Case DCF.** At **₹1,310**, the current share price is approximately **2.4% below the Base Case DCF value of ₹1,342.45**, indicating that the DCF by itself provides only limited upside at the current valuation.

Investment Implication

The sensitivity analysis supports the author's decision **not to rely exclusively on the DCF to establish the final target price**. At relatively conservative assumptions, such as **11.0–11.5% WACC**, the DCF produces values below the current market price. Conversely, stronger long-term growth assumptions generate substantial upside.

This reinforces the importance of the **SOTP framework**, which explicitly values Jio, Retail, O2C and Oil & Gas according to their individual growth, profitability and risk characteristics rather than forcing the entire Group into a single consolidated DCF framework.

SOTP Valuation

Methodology

Given Reliance Industries' diversified business structure, the author considers **Sum-of-the-Parts (SOTP)** to be the most appropriate primary valuation framework. A consolidated valuation multiple would fail to adequately reflect the substantial differences in growth, profitability, capital intensity and cyclicalities across the Group's businesses.

The SOTP framework therefore values the principal operating businesses independently and subsequently aggregates their implied enterprise values to derive consolidated equity value.

Why SOTP?

Reliance's portfolio contains businesses at materially different stages of their economic and growth cycles:

- **Digital Services (Jio)** — high-growth digital and telecommunications platform with significant ARPU and monetisation potential.
- **Reliance Retail** — rapidly expanding consumer platform benefiting from organised-retail penetration, store expansion and operating leverage.
- **O2C** — mature, highly integrated energy and materials business with significant cash-generation capacity but greater exposure to global commodity cycles.
- **Oil & Gas** — upstream business with production and reserve potential but higher exposure to commodity prices and execution risk.
- **Media, Entertainment & Other** — broader strategic and ecosystem businesses with emerging monetisation potential.

Applying a single multiple to consolidated EBITDA would therefore risk **undervaluing the structurally faster-growing businesses while potentially overvaluing the more cyclical businesses.**

Segment Valuation Framework

The author applies **EV/EBITDA multiples** to the relevant segment EBITDA forecasts.

Segment	Valuation Method	Base Multiple	Primary Comparable / Reference	Rationale
Digital Services (Jio)	EV/EBITDA	15.0x	Bharti Airtel	Premium reflects Jio's scale, strong EBITDA margins, digital ecosystem, 5G monetisation potential and continued earnings growth, while remaining below high-growth standalone technology/platform valuations
Reliance Retail	EV/EBITDA	22.0x	Avenue Supermarts (DMart)	Premium to a normalized broader retail reference is supported by Reliance Retail's scale, diversified formats and omnichannel capabilities; the selected multiple remains materially below the observed DMart multiple to maintain valuation discipline
O2C	EV/EBITDA	6.5x	Indian Oil Corporation	Premium reflects Reliance's integrated refining and petrochemical platform, downstream capabilities and private-sector capital allocation, while recognizing the mature and cyclical nature of the business
Oil & Gas	EV/EBITDA	5.5x	ONGC	Premium reflects Reliance's strategic E&P assets, operating model, portfolio optionality and integration within the broader energy platform, while recognizing the mature characteristics and commodity exposure of the segment

Comparable Selection

The comparable companies are selected based on **business economics rather than simply sector classification**.

Jio — Bharti Airtel

The **15.0×** multiple reflects Jio's position as the highest-growth major operating segment within Reliance.

The premium relative to a conventional telecom reference is supported by:

- strong and improving EBITDA margins;
- continued subscriber and ARPU growth;
- 5G monetisation potential;
- increasing network utilisation;
- enterprise and digital-service opportunities; and
- the broader Jio digital ecosystem.

The selected multiple nevertheless remains below the valuation levels typically associated with high-growth standalone technology and platform businesses. This provides a degree of valuation discipline while recognizing that Jio's earnings profile is increasingly differentiated from a conventional mature telecom operator.

Retail — Avenue Supermarts (DMart)

The **22.0×** multiple reflects Reliance Retail's combination of scale, growth and operating leverage.

The valuation premium is supported by:

- continued store expansion;
- rising organised-retail penetration;
- diversified retail formats;
- omnichannel capabilities;
- supply-chain efficiencies; and
- expected margin expansion as the business scales.

The multiple is intentionally positioned below the observed valuation level of DMart referenced in the analysis. This avoids assuming that Reliance Retail should immediately command the same premium as the market's highest-valued standalone retail businesses.

O2C — Indian Oil Corporation

The **6.5×** multiple is applied to O2C as a mature, capital-intensive and cyclical business.

The selected premium to the Indian Oil reference multiple reflects Reliance's:

- highly integrated refining and petrochemical platform;
- downstream capabilities;
- scale and asset complexity;
- private-sector capital allocation; and
- broader energy integration.

However, the multiple is deliberately constrained by the structural characteristics of O2C, including commodity-price exposure, refining-cycle volatility and relatively mature long-term growth prospects.

Accordingly, the 6.5×

 assumption should be interpreted as a **normalized mid-cycle valuation**, rather than a structural re-rating assumption.

Oil & Gas — ONGC

The **5.5×** multiple is applied to the Oil & Gas E&P business using ONGC as a reference point rather than as a directly comparable company.

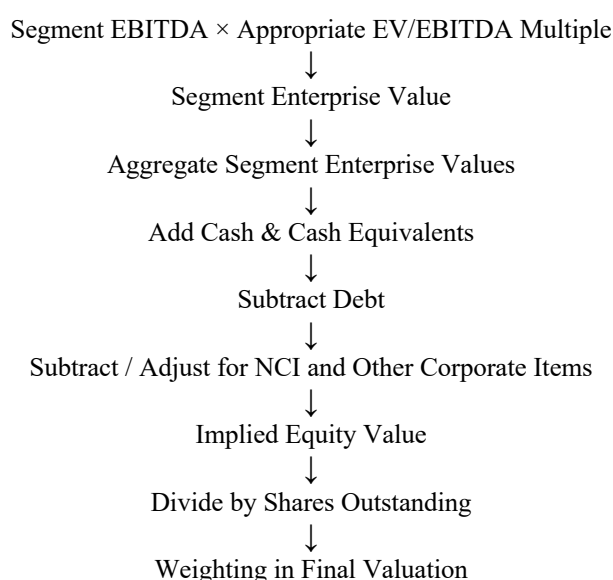
The premium reflects Reliance's:

- strategic E&P assets;
- private-sector operating model;
- production growth potential;
- portfolio optionality; and
- integration within the broader Reliance energy platform.

The multiple remains substantially below the levels appropriate for high-growth businesses, reflecting the commodity exposure and mature characteristics of upstream operations.

SOTP Calculation

The valuation follows the following framework:



The author assigns an **80% weighting to the SOTP valuation** and **20% to the consolidated FCFF DCF**.

This weighting reflects the view that SOTP better captures the economic reality of Reliance's portfolio, while the DCF provides an independent cross-check based on consolidated cash-generation capacity.

Analyst Takeaway

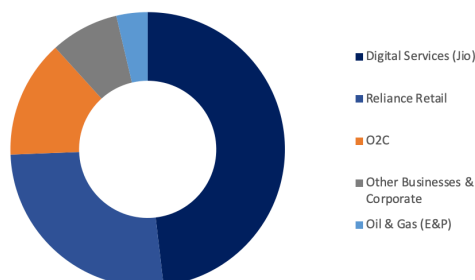
SOTP is the primary valuation methodology because Reliance is not a homogeneous business. The valuation framework explicitly recognises the premium economics of Jio and Retail while maintaining more conservative multiples for cyclical O2C and Oil & Gas operations. The consolidated DCF is retained as an independent check on the resulting valuation.

Segment-Level SOTP Valuation

The author values Reliance's principal businesses independently using forward **FY2026-27E EBITDA** and segment-appropriate EV/EBITDA multiples. This approach reflects the differing growth profiles, capital requirements and cyclicity of each business.

Segment	FY27E EBITDA (₹ Cr)	EV/EBITDA	Enterprise Value (₹ Cr)
Oil-to-Chemicals (O2C)	59,403	6.50x	3,86,121
Digital Services (Jio)	89,296	15.00x	13,39,446
Reliance Retail	33,189	22.00x	7,30,157
Oil & Gas (E&P)	18,606	5.50x	1,02,331
Other Businesses & Corporate	28,022	8.00x	2,24,172
Total Enterprise Value			27,82,227

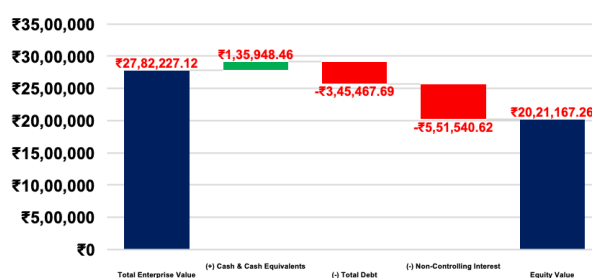
Chart 4: SOTP Enterprise Value Contribution



Equity Value Bridge

Particular	₹ Crore
Total Enterprise Value	27,82,227
(+) Cash & Cash Equivalents	1,35,948
(-) Total Debt	(3,45,468)
(-) Non-Controlling Interest	(5,51,541)
Implied Equity Value	20,21,167
Implied Value / Share Before Discount	₹1,493.57
Less: Conglomerate Discount	-5.0%
Shares Outstanding (crore)	1,353.25
Implied SOTP Value / Share	₹1,418.89

Chart 5: Enterprise Value to Equity Value Bridge (₹ Cr)



SOTP Interpretation

The SOTP produces an implied value of **₹1,418.89 per share after 5% conglomerate discount**, above both the current market price of **₹1,310** and the Base Case DCF value of **₹1,342.45**.

The most significant contributor is **Digital Services**, with an implied enterprise value of approximately **₹13.39 lakh crore**, reflecting both the scale of Jio's EBITDA base and the premium multiple assigned to its structural growth and digital monetisation opportunity. **Reliance Retail** represents the second-largest contributor at approximately **₹7.30 lakh crore**, supported by its high-growth consumer positioning and the potential for continued operating leverage.

In contrast, **O2C** and **Oil & Gas** receive substantially lower multiples, reflecting their greater exposure to commodity cycles and more mature earnings profiles. This differentiation is central to the SOTP methodology.

Key Observation

Approximately half of the SOTP enterprise value is attributable to Digital Services, while Retail represents another significant component. This demonstrates that the market value of Reliance is increasingly dependent on the successful monetisation and continued growth of its consumer and digital platforms rather than solely on its legacy energy businesses.

SOTP vs DCF

<i>Valuation Method</i>	<i>Implied Value / Share</i>
DCF	₹1,342.45
SOTP after 5% conglomerate discount	₹1,418.89
Difference	+₹76.44 / +5.7%

DCF vs SOTP Reconciliation

The author uses two complementary intrinsic valuation methodologies to arrive at the final target price for Reliance Industries.

The SOTP methodology is assigned an **80% weighting**, reflecting its ability to capture the different economic characteristics of Reliance's principal businesses. The DCF receives a **20% weighting** as an independent cross-check based on consolidated free cash flow.

<i>Valuation Methodology</i>	<i>Implied Value / Share</i>	<i>Weight</i>	<i>Weighted Contribution</i>
SOTP after 5% conglomerate discount	₹1,418.89	80%	₹1,135.11
DCF	₹1,342.45	20%	₹268.49
Final Target Price		100%	₹1,403.60

Reconciliation

The SOTP valuation produces an implied value of **₹1,418.89 per share after 5% conglomerate discount**, while the consolidated DCF produces **₹1,342.45 per share**.

The relatively narrow difference between the two methodologies provides a degree of cross-validation for the author's valuation framework. SOTP indicates a somewhat higher value because it explicitly recognises the premium valuation potential of Jio and Retail, whereas the consolidated DCF incorporates the Group's entire capital structure and cash-flow profile.

The final target price is calculated as:

$$(\text{₹1,418.89} \times 80\%) + (\text{₹1,342.45} \times 20\%) = \text{₹1,403.60}$$

This represents approximately **7.1% upside** to the current share price of ₹1,310.

Why SOTP Receives the Higher Weight Rationale for SOTP-Centric Approach (80%)

The SOTP methodology is appropriate as the primary valuation framework for the following reasons:

- Segment Heterogeneity:** Reliance's businesses have materially different characteristics:
 - High-growth, high-margin consumer/digital assets (Jio, Retail)
 - Stable, cyclical energy assets (O2C, Oil & Gas)
 - These differences are inadequately captured by consolidated multiples
- Market Practice:** Investors and analysts evaluate Reliance segments separately, with differentiated valuation multiples reflecting segment-specific drivers

3. **Optionality Value:** The possibility of future demergers or separate listing of high-growth segments (e.g., Jio, Retail) creates hidden optionality best captured via SOTP
4. **Conglomerate Discount Dynamics:** SOTP valuation explicitly accounts for the fact that conglomerate discounts may narrow if investors perceive clearer segment separation.

Rationale for DCF Inclusion (20%)

DCF valuation serves as an important cross-check and provides:

1. **Intrinsic Value Anchor:** DCF represents the present value of all future cash flows, independent of current market sentiment or multiple expansion/compression
2. **Downside Protection:** If segment multiples collapse, DCF provides a lower-bound value estimate
3. **Long-term Growth Validation:** DCF forces explicit assumptions about long-term growth, WACC and terminal value—assumptions that are often understated in segment multiples

Alternative Weighting Scenarios

The following alternative weightings are analysed for reference:

<i>Weighting Approach</i>	<i>SOTP Weight</i>	<i>DCF Weight</i>	<i>Implied Target</i>	<i>Rationale</i>
<i>Conservative Weighting</i>	60%	40%	₹1,325	Higher DCF weight; values intrinsic value more heavily
<i>Base Case (Current)</i>	80%	20%	₹1,404	Market-based SOTP as primary framework
<i>Aggressive Weighting</i>	90%	10%	₹1,431	Prioritizes market comparables; limited DCF influence

The author has selected the Base Case (80/20) weighting as most appropriate given Reliance's positioning as a diversified conglomerate trading on segment metrics rather than consolidated multiples.

Investment Interpretation

The reconciliation produces an important conclusion:

Both intrinsic valuation frameworks indicate a value above the current market price, but neither provides sufficient upside on a standalone basis to create a strong margin of safety.

The final target of ₹1,403.60 therefore supports the author's **HOLD** recommendation rather than a **BUY**.

At the current price of ₹1,310:

- **SOTP upside:** +8.3%
- **DCF upside:** +2.5%
- **Final target upside:** +7.1%

The relatively modest spread between the current market price and the blended target suggests that **continued earnings execution alone may not be sufficient to generate substantial shareholder returns from the current valuation**. A stronger upside case would require either faster-than-expected Jio/Retail earnings growth or a sustained re-rating of their valuation multiples.

Analyst Takeaway

Reliance's valuation is fundamentally supported, but the current market price already captures a meaningful portion of the expected transformation. The investment case therefore depends increasingly on execution and future earnings upgrades rather than simple multiple expansion.

SOTP Sensitivity Analysis

Jio EV/EBITDA vs. Reliance Retail EV/EBITDA

The SOTP valuation is most sensitive to the multiples assigned to **Digital Services (Jio)** and **Reliance Retail**, which together represent the largest contributors to the Group's implied enterprise value. The sensitivity matrix evaluates the impact of varying these two key assumptions while holding all other segment assumptions constant.

Jio EV/EBITDA ↓ / Retail EV/EBITDA →	18.0x	20.0x	22.0x	24.0x	26.0x
13.0x	₹1,255.67	₹1,295.28	₹1,334.89	₹1,374.49	₹1,414.10
14.0x	₹1,297.67	₹1,337.28	₹1,376.89	₹1,416.50	₹1,456.10
15.0x	₹1,339.67	₹1,379.28	₹1,418.89	₹1,458.50	₹1,498.10
16.0x	₹1,381.67	₹1,421.28	₹1,460.89	₹1,500.50	₹1,540.10
17.0x	₹1,423.67	₹1,463.28	₹1,502.89	₹1,542.50	₹1,582.10

Base Case: Jio 15.0x / Retail 22.0x → ₹1,418.89 per share

Key Observations:

- SOTP value is highly sensitive to Jio multiple. A $\pm 1.0x$ change in Jio multiple = $\pm ₹42$ /share
- Retail multiple also has similar impact ($\pm 1.0x = \pm ₹40$ /share)
- A 10% compression in both Jio and Retail multiples would reduce SOTP value by $\sim 15\%$

Interpretation

The Base Case SOTP value of **₹1,418.89** after 5% conglomerate discount is based on a **15.0x Jio EV/EBITDA multiple** and **22.0x Retail EV/EBITDA multiple**.

The sensitivity range produces implied values from approximately **₹1,255.67 to ₹1,582.10 per share**, demonstrating that valuation remains meaningfully dependent on the market multiples assigned to Reliance's two principal growth platforms.

At the **lower end of the matrix**, a 13.0x Jio multiple and 18.0x Retail multiple produces an implied value of **₹1,255.67**, representing approximately **4.1% downside** to the current ₹1,310 share price.

At the **upper end**, a 17.0x Jio multiple and 26.0x Retail multiple produces an implied value of **₹1,582.10**, representing approximately **20.8% upside**.

	Conservative Multiples	Base Case Multiples	Aggressive Multiples
Low WACC (9.5%)	₹1,560	₹1,680	₹1,780
Base WACC (10.5%)	₹1,310	₹1,403	₹1,490
High WACC (11.5%)	₹1,085	₹1,165	₹1,240

Conservative Multiples: Jio 13.0x, Retail 18.0x, O2C 5.5x, O&G 4.5x

Base Case Multiples: Jio 15.0x, Retail 22.0x, O2C 6.5x, O&G 5.5x

Aggressive Multiples: Jio 17.0x, Retail 26.0x, O2C 7.5x, O&G 6.5x

Investment Implication

The sensitivity analysis highlights that **multiple assumptions are a material determinant of Reliance's valuation**. The underlying businesses may continue to perform strongly, but a lower market willingness to pay for growth could offset part of the fundamental earnings improvement.

Conversely, sustained Jio monetisation, Retail margin expansion and stronger evidence of platform economics could justify higher multiples and push SOTP value toward the upper end of the range.

Importantly, the sensitivity does **not** change the author's Base Case assumptions. It is intended to illustrate the **valuation risk surrounding those assumptions**, rather than to establish alternative forecasts.

Key takeaway

The Base Case SOTP of **₹1,418.89** provides modest upside to the current price, while the sensitivity range demonstrates that the valuation has meaningful exposure to the premium multiples assigned to Jio and Retail.

Peer / Competitive Benchmarking

Business Vertical	Reliance Component	Key Public Peer	Metric-by-Metric Breakdown & Operational Context
Digital Platforms	Jio Platform	Bharti Airtel	Subscribers: Jio commands market leadership with 524M+ total subscribers, whereas Airtel services a premium base of ~480M Indian domestic subscribers. ARPU: Airtel maintains an active industry-leading Average Revenue Per User of ₹264/month, outperforming Jio's exit ARPU of ₹214/month, validating Airtel's targeted premiumization strategy over pure scale. EBITDA Margin: Airtel reports a consolidated EBITDA margin of 60% compared to Jio's operational EBITDA margin of 50.8%, highlighting Airtel's near-term operating efficiencies. This performance gap supports the 15.0x multiple assigned to Jio, backing a premium listing structure ahead of its upcoming 2026 IPO.
Organised Retail	Reliance Retail	DMart	Revenue Growth: Reliance Retail dominates on absolute market scale with an operation baseline of ₹3,64,085 Cr (+11.8% YoY gross growth), while DMart records high top-line growth at ₹68,820 Cr (+15.9% YoY). EBITDA Margin: Both entities run tightly matched business models; Reliance Retail records a blended EBITDA margin of ~8.3% across multiple formats, while DMart tracks close at 8.1%. Store Footprint: Reliance leverages a massive omni-channel scale with 20,160 active stores. Conversely, DMart employs a highly disciplined, owned property cluster framework with exactly 500 outlets, extracting an 8.2x higher derived revenue-per-

Oil-to-Chemicals (O2C)

Reliance O2C

Indian Oil Corp (IOCL)

store metric due to extreme food and grocery volume velocity.

Refining Scale: Both corporations rank as global downstream giants, with IOCL tracking at an aggregate capacity of 75.54 MMTPA and Reliance leading close at 80.0 MMTPA (consolidated in the high-complexity Jamnagar export complex).

Gross Refining Margin (GRM): Reliance commands structurally superior refining cracks with a modelled base case of \$10.78/bbl, while state-run IOCL logged a strong Q2 parameter of \$10.6/bbl but remains exposed to lower historical mid-cycle averages (\$4.80/bbl).

Margins: Reliance O2C operates at double-digit mid-cycle EBITDA thresholds (~15%), while state-managed OMCs experience compressed trailing spreads (IOCL historical PBILDT margin of 4.69% to 6.90% range) due to domestic fuel price levelling mandates.

Upstream Exploration (E&P)

Reliance E&P

ONGC

Production Dynamics: ONGC operates as the nation's massive primary resource explorer, posting quarterly volumes of 5.8 MMTOE oil output and 8.2 BCM gas. Reliance focuses tightly on deepwater infrastructure in the KG-D6 basin, producing over 30% of total domestic gas but facing near-term plateau cycles.

Margins & Valuation: ONGC logs solid cost-controlled EBITDA margins near 26%. Reliance's upstream division is valued at a defensive 5.5x multiple to reflect its capital-guzzling near-term reinvestment into deepwater exploration fields and subsea pipelines, balancing public benchmark trends with conservative holding-company discount adjustments.

Consolidated Core Trading Multiples & Financial Scale Matrix (FY27E)

The quantitative dataset below tracks the absolute scale, revenue velocity, and forward market valuation metrics for Reliance Industries relative to its primary domestic sector comparables, as extracted from consensus financial modelling layers.

<i>Company</i>	<i>Share Price (₹)</i>	<i>Market Cap (₹ Cr.)</i>	<i>Enterprise Value (₹ Cr.)</i>	<i>Revenue FY27E (₹ Cr.)</i>	<i>EBITDA FY27E (₹ Cr.)</i>	<i>EV/EBITDA FY27E</i>	<i>P/E FY27E</i>
Reliance Industries	1,310.00	17,72,757.50	19,82,276.74	12,73,707.56	2,28,515.75	8.67x	20.83x
<i>Bharti Airtel</i>	1,906.20	11,89,850.04	14,02,330.04	2,41,607.00	1,45,521.60	9.64x	34.54x
<i>Adani Enterprises</i>	2,950.10	3,80,769.41	4,29,259.41	1,30,136.00	18,509.00	23.19x	44.29x
<i>ONGC</i>	240.09	3,02,105.25	4,12,445.25	7,25,000.00	1,94,000.00	2.13x	6.08x
<i>Avenue Supermarts</i>	4,045.50	2,63,038.41	2,60,588.41	82,300.00	6,300.00	41.36x	73.90x
<i>Indian Oil</i>	140.50	1,93,462.88	3,17,572.88	9,27,450.00	87,100.00	3.65x	4.44x

Operational & Vertical Strategic Context

Digital & Telecom Scale: Reliance's consolidated forward EBITDA of ₹2,28,515.75 crore is heavily supported by Jio Platforms. When evaluated against pure-play digital infrastructure peer **Bharti Airtel** (trading at **9.64x EV/EBITDA** and **34.54x P/E**), Reliance's blended forward corporate multiple of **8.67x EV/EBITDA** implies a significant holding company discount. This underlines the valuation expansion opportunity targeted by the upcoming 2026 Jio IPO listing.

Organized Consumption Footprint: While pure-play retail expansions like **Avenue Supermarts (DMart)** trade at a premium momentum multiple of **41.36x EV/EBITDA** due to hyper-efficient grocery asset turnover, Reliance Retail's embedded value remains masked within the conglomerate mix, further justifying why a granular SOTP method uncovers hidden asset premiums that a single corporate DCF baseline runs conservatively below.

Energy & Resource Baseline: Mature upstream extraction and downstream manufacturing units like **ONGC (2.13x EV/EBITDA)** and **Indian Oil (IOCL) (3.65x EV/EBITDA)** anchor the lower bound of regional commodity trading bands. Reliance O2C's premium operational integration allows it to consistently capture wider margin spreads than state-run commodity peers while providing steady cash flow to fuel higher-multiple consumer ecosystems.

SEGMENT-RELEVANT RELATIVE VALUATION

Because Reliance operates across businesses with fundamentally different economic characteristics, conventional peer valuation at the consolidated-company level has limited analytical value. The author therefore uses **segment-relevant listed comparables as valuation reference points** rather than applying a single peer multiple to consolidated Reliance EBITDA.

<i>Reliance Business</i>	<i>Primary Comparable</i>	<i>Reference EV/EBITDA</i>	<i>Reliance Applied Multiple</i>	<i>Premium / (Discount)</i>
Digital Services (Jio)	Bharti Airtel	9.57x	15.0x	Premium
Reliance Retail	Avenue Supermarts (DMart)	41.36x	22.0x	(Discount)
O2C	Indian Oil Corporation	3.68x	6.5x	Premium
Oil & Gas	ONGC	2.11x	5.5x	Premium
Other Businesses & Corporate	—	Peer Median - 9.16x	9.16x	Strategic / residual

Digital Services — Jio vs Bharti Airtel

Bharti Airtel is the most relevant listed Indian reference for Jio's telecommunications operations. However, the author's **15.0x multiple is deliberately above the reference multiple**.

The premium reflects the broader nature of Jio's platform, which extends beyond traditional wireless connectivity into broadband, digital services and the wider Jio ecosystem. Reliance's FY2025-26 results demonstrate the underlying earnings momentum, with Digital Services EBITDA increasing **17.8% YoY to ₹76,560 crore**.

Importantly, the premium should **not** be interpreted as assuming Jio is simply worth more because it is owned by Reliance. It reflects the author's expectation of stronger long-term monetisation and growth optionality.

Retail — Reliance Retail vs DMart

Avenue Supermarts provides a useful Indian listed benchmark for organised grocery and consumer retail.

The author's **22.0x multiple represents a substantial discount to the DMart reference multiple of 41.36x**, reflecting a more conservative approach to Reliance Retail's valuation despite its scale, format diversification and long-term growth potential.

Reliance Retail generated **₹3,64,085 crore of revenue and ₹27,034 crore of EBITDA in FY2025-26**, with EBITDA growing 14.7% YoY.

The premium therefore reflects the author's expectation that the business can continue to benefit from India's long-term organised-retail penetration and operating leverage.

O2C — Reliance vs Indian Oil

Indian Oil provides a relevant listed reference for the refining and energy component of O2C.

The author's **6.5x multiple** remains substantially below the multiples assigned to Jio and Retail, despite being above the reference IOC multiple.

This reflects the quality of Reliance's integrated O2C platform, while still recognising the segment's exposure to **refining margins, petrochemical spreads, crude prices and global supply-demand cycles**.

O2C generated **₹60,546 crore of EBITDA in FY2025-26**, up 10.1% YoY.

Oil & Gas — Reliance vs ONGC

ONGC provides the most relevant Indian listed reference for Reliance's upstream operations.

The author's **5.5x multiple** is above the reference ONGC multiple because Reliance's upstream portfolio has different asset characteristics and production-growth potential. However, the applied multiple remains well below the valuation assigned to Jio and Retail.

This reflects the inherently more cyclical and commodity-linked nature of upstream earnings.

Reliance's Oil & Gas EBITDA was **₹19,050 crore in FY2025-26**, with the business experiencing pressure from natural production decline in KG-D6 and softer gas prices.

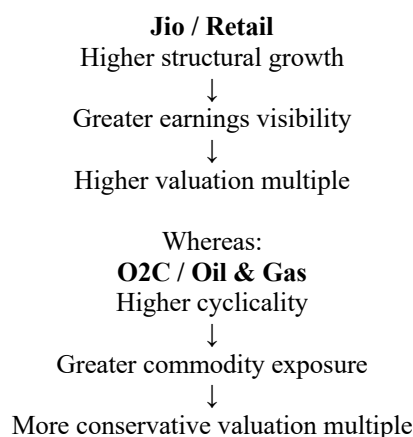
Why the Multiples Differ

The key principle is **not that Reliance deserves a premium across every business**.

Rather, the multiples reflect:

Growth → Margin quality → Capital intensity → Cyclicalities → Competitive position → Long-term optionality

Consequently:



Comparable Companies Valuation

To provide an independent market-based cross-check to the intrinsic valuation methodologies, the author applies a **multi-metric comparable companies framework** using EV/Sales, EV/EBITDA, P/E and P/B. The use of multiple valuation metrics is intended to reduce dependence on any single accounting or operating measure and to capture different dimensions of Reliance's diversified business profile.

The methodology assigns the greatest weight to **EV/EBITDA (45%)**, given its relevance to a capital-intensive and diversified conglomerate, followed by **P/E (35%)**. EV/Sales receives a 13% weighting, while P/B receives a 7% weighting as a supplementary balance-sheet-based reference.

Comparable Valuation Summary

Method	Weight	Target Price	Weighted Contribution
EV/Sales	13%	₹2,067.69	₹268.80
EV/EBITDA	45%	₹1,391.22	₹626.05
P/E	35%	₹1,741.17	₹609.41
P/B	7%	₹2,227.68	₹155.94
Comparable Target Price	100%	—	₹1,660.20

The weighted comparable-company framework produces an implied target price of **₹1,660.20 per share**, representing **26.7% upside** to the current market price of ₹1,310.00.

Interpretation

The relatively wide dispersion between the individual methodologies — from **₹1,391.22 under EV/EBITDA to ₹2,227.68 under P/B** — demonstrates the sensitivity of a diversified conglomerate such as Reliance to the valuation methodology selected.

EV/EBITDA provides the most conservative operating-based estimate and receives the highest weighting because it is less affected by capital structure and non-operating items than equity-based multiples.

The **P/E and P/B methodologies produce higher implied values**, reflecting the market's ability to capitalise Reliance's earnings base and substantial asset position. However, these outputs should be interpreted cautiously because consolidated earnings and book value incorporate businesses with substantially different growth profiles, capital intensity and accounting characteristics.

EV/Sales provides an additional cross-check, particularly useful for businesses where current margins may not fully reflect their long-term earnings potential, but receives a lower weighting because revenue alone does not adequately capture the substantial differences in profitability across Reliance's segments.

Key Takeaway

The **₹1,660.20 comparable-company target is materially above the ₹1,403.60 Base Case blended valuation**. This provides a useful valuation cross-check and suggests that the market-based framework is more optimistic than the author's intrinsic valuation.

However, the author does **not** use the comparable-company output as the primary target price. The final recommendation places greater emphasis on the **SOTP and DCF frameworks**, which explicitly incorporate Reliance's segment-specific economics and forward cash-generation potential.

Valuation Snapshot

Metric	Value
Current Market Price	₹1,310.00
Comparable Target Price	₹1,660.20
Implied Upside	26.73%
Highest Method Target	₹2,227.68
Lowest Method Target	₹1,391.22
High-Low Spread	₹836.46

FINAL VALUATION RECONCILIATION

The author's primary valuation framework combines **segment-level SOTP valuation and FCFF-based DCF valuation**, reflecting the different economic characteristics of Reliance's businesses while maintaining an intrinsic-value anchor.

Valuation Method	Weight	Target Price	Weighted Value
SOTP Valuation	80%	₹1,418.89	₹1,135.11
DCF – Perpetuity Growth	20%	₹1,342.45	₹268.49
Final Target Price	100%	—	₹1,403.60

Valuation Interpretation

The **SOTP valuation of ₹1,418.89** receives the highest weighting because Reliance's individual businesses have materially different growth rates, capital intensity and cyclicality. Segment-level valuation therefore provides a more informative assessment of the Group's underlying asset value.

The **DCF valuation of ₹1,342.45** provides the intrinsic-value anchor by discounting the Group's forecast free cash flows and terminal value at a **10.50% WACC** and **5.00% terminal growth rate**.

The resulting blended target price of **₹1,403.60** implies approximately **7.1% upside** from the current market price of ₹1,310.00.

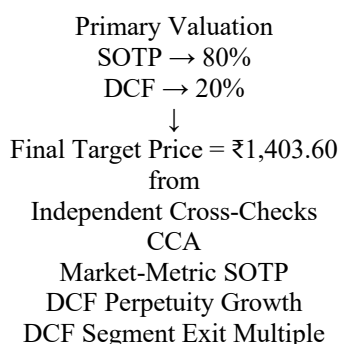
Why the Primary Framework Does Not Include CCA

The Comparable Company Analysis (CCA) is deliberately **not included as a weighted component of the primary target price**.

CCA is retained as an independent market-based cross-check because consolidated peer comparisons are inherently imperfect for a diversified conglomerate such as Reliance. The selected peers operate primarily as standalone businesses, whereas Reliance combines digital services, organised retail, refining and petrochemicals,

upstream energy and other businesses within a single corporate structure. The CCA therefore provides useful information regarding the market's potential re-rating range, but it is not sufficiently clean to override the segment-specific SOTP and consolidated FCFF frameworks.

Accordingly, the valuation architecture separates:



This separation prevents the same underlying valuation information from being repeatedly weighted into the final target.

Scenario Valuation

Scenario	Implied Value	Upside / (Downside)
Bear Case	₹989.63	-24.46%
Base Case	₹1,403.60	+7.15%
Bull Case	₹1,959.14	+49.55%

Primary Target Price: ₹1,403.60

Recommendation: HOLD

CATALYSTS & INVESTOR MONITORING FRAMEWORK

The author's valuation is most sensitive to the pace of earnings growth in Digital Services and Retail, the normalisation of O2C profitability and the market multiples assigned to the Group's higher-growth businesses. Accordingly, investors should monitor a focused set of operating and financial indicators rather than relying solely on consolidated earnings.

Key Operating Indicators

Indicator	What to Monitor	Valuation Relevance
Jio ARPU	Sustained ARPU expansion and successful monetisation of 5G and digital services	Directly affects Jio revenue and EBITDA growth
Jio Subscriber Base	Subscriber additions, retention and data usage	Determines scale and monetisation potential
Jio EBITDA Margin	Continued operating leverage and digital-services contribution	Supports the 15.0x SOTP multiple
Retail EBITDA Margin	Recovery from the FY26 margin level as scale increases	Key driver of Retail earnings growth
Retail Store Productivity	Sales, transactions and customer growth per store	Tests whether network expansion generates adequate returns
O2C EBITDA & Margins	Refining cracks, petrochemical spreads and operating rates	Determines cash-generation capacity
KG-D6 Production	Production levels and field performance	Drives Oil & Gas earnings
Consolidated Capex	Capital expenditure relative to operating cash generation	Determines future free-cash-flow conversion

Net Debt	Debt reduction and balance-sheet discipline	Directly affects equity value in SOTP
Jio & Retail Valuation Multiples	Market willingness to maintain premium multiples	Major driver of SOTP upside/downside

RIL's FY2025-26 disclosures support the importance of these indicators: Digital Services EBITDA increased **17.8%**, supported by subscriber additions, ARPU growth and digital-services scale-up, while Retail EBITDA increased **7.7%** amid continued network expansion. O2C EBITDA increased **10.1%**, whereas Oil & Gas EBITDA declined **9.1%** because of production decline and softer gas prices.

Jio ARPU Expansion & 5G Monetization

Timeline: FY27-29 (next 12-24 months)

Base Case Assumption:

- FY26A Jio ARPU: ₹214/month
- FY31E Jio ARPU: ₹276/month (implied by CAGR)
- Mechanism: Gradual 5G subscriber penetration, value-added services

Upside Case (Bull):

- FY31E ARPU: ₹304/month
- 5G adoption faster than anticipated; enterprise/cloud services monetize quicker
- Impact on Jio EBITDA: Around +₹5,000 Cr by FY31E
- Impact on Reliance Equity Value: +₹28- 42 per share (via EBITDA growth)
- Probability: 40% (execution risk on 5G ecosystem)

Downside Case (Bear):

- FY31E ARPU: ₹240/month (slower monetization)
- Competition limits pricing power; wholesale data rates pressured
- Impact on Jio EBITDA: -₹3,000 Cr by FY31E
- Impact on Reliance Equity Value: -₹18- 30 per share
- Probability: 30% (competitive risk)

Key Monitoring Metrics:

- Monthly ARPU reported by Jio
- 5G subscriber additions and mix
- Enterprise/Cloud revenue contribution

Reliance Retail Margin Expansion

Timeline: FY27-30 (medium-term driver)

Base Case Assumption:

- FY26A Retail EBITDA Margin: 8.0%
- FY31E Retail EBITDA Margin: 10%
- Mechanism: Operating leverage from 550+ store adds/year, improved productivity

Upside Case (Bull):

- FY31E Retail Margin: 11.5% (faster scale benefits)
- SSS growth 4-5% sustained; private label 15%+ of revenue
- Omnichannel integration complete; logistics network optimized

- Impact on Retail EBITDA: +₹10,000 Cr by FY31E
- Impact on Reliance Equity Value: +₹52- 78 per share
- Probability: 45% (execution dependent)

Downside Case (Bear):

- FY31E Retail Margin: 8.0% (slower leverage, competitive pressure)
- E-commerce cannibalization accelerates; SSS growth 1-2% only
- High capex requirements limit margin improvement
- Impact on Retail EBITDA: -₹5,000 Cr by FY31E
- Impact on Reliance Equity Value: -₹26- 42 per share
- Probability: 25% (structural e-commerce risk)

Key Monitoring Metrics:

- Retail like-for-like sales growth (SSS%)
- EBITDA margin reported by Retail segment
- Store productivity (sales per sq ft)
- Online vs Offline mix

O2C Refining Margin Normalization

Timeline: CY26-27 (near-term cyclical opportunity)

Base Case Assumption:

- FY26A Refining Gross Refining Margin (GRM): ₹10.78/bbl (strong)
- FY27E GRM: ₹10.78/bbl
- Mechanism: Seasonal variation; assume mean reversion toward ₹9.5-11.0/bbl range

Upside Case (Bull):

- CY26-27 Average GRM: ₹13.03/bbl (supply tightness, tight global capacity)
- Refining utilization 98%+ consistently
- Impact on O2C EBITDA: +₹15,000 Cr incremental
- Impact on Reliance Equity Value: +₹93- 124 per share
- Probability: 35% (commodity/geopolitical dependent)

Downside Case (Bear):

- CY26-27 Average GRM: ₹ 8.53/bbl (weak cycle, new capacity online)
- Petrochemical spreads compressed; weak demand from China
- Impact on O2C EBITDA: -₹10,000 Cr
- Impact on Reliance Equity Value: -₹62-93 per share
- Probability: 35% (cyclical downturn risk)

Key Monitoring Metrics:

- Singapore/Amsterdam GRM levels (published daily)
- Reliance's reported GRM in quarterly results
- Global refining utilization rates

Peer Multiple Rerating

Timeline: FY27-29 (strategic inflection)

Base Case Assumption:

- Current conglomerate discount: -5%
- SOTP value: ₹1,404, but trading at ₹1,310 (discount persists)

Upside Case (Bull):

- Market recognizes Jio/Retail as quasi-separate growth platforms
- No Conglomerate discount
- Jio multiple re-rates from 15.0x to 17-18x; Retail from 22x to 25-26x
- Impact: ₹1,500-1,650 valuation
- Probability: 40% (requires clearer segment communication, possible demerger signals)

Downside Case (Bear):

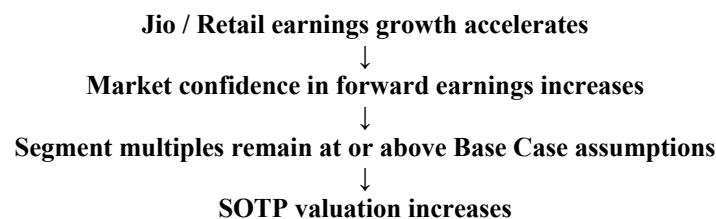
- Market remains sceptical of conglomerate model
- Conglomerate discount widens to -10% (trend toward demergers elsewhere)
- Jio/Retail multiples compress; O2C multiple falls to 5.5x on cycle concerns
- Impact: ₹1,150-1,250 valuation
- Probability: 30% (sentiment/structural risk)

Key Monitoring Metrics:

- Analyst consensus EV/EBITDA on Reliance vs peer median
- Commentary on conglomerate structure from management
- Demerger speculation in media/sell-side

Valuation Catalysts

The most significant potential valuation re-rating would occur if:



RIL itself identifies Digital Services and Retail as increasingly important contributors to future growth, with the two businesses together contributing nearly half of FY26 EBITDA.

Investor Monitoring Framework

The investment thesis should therefore be reassessed each quarter against **three core questions**:

- 1. Are Jio and Retail growing faster than the mature businesses?**
- 2. Is consolidated EBITDA growth translating into stronger free-cash-flow generation?**
- 3. Are the premium multiples assigned to Jio and Retail supported by their underlying earnings growth?**

If the answer to all three remains positive, the **₹1,403.60 Base Case could prove conservative**. Conversely, deterioration in these indicators would increase the probability of the Bear Case valuation.

FINAL INVESTMENT CONCLUSION

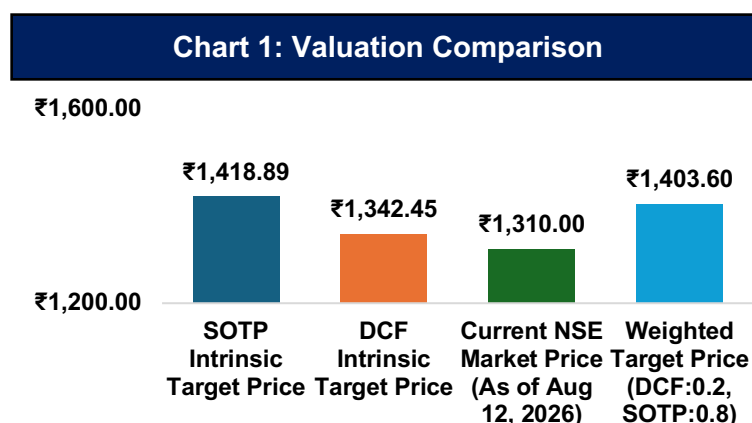
Reliance Industries represents a high-quality diversified platform undergoing a structural transformation from an energy-led conglomerate toward a broader combination of **digital services, consumer retail, energy and media businesses**.

The analysis indicates that **Jio and Reliance Retail are the principal long-term growth engines**, while O2C remains an important source of cash generation and Oil & Gas provides additional earnings potential. This increasingly diversified earnings profile supports the use of a **segment-based SOTP framework**, supplemented by an FCFF-based DCF valuation.

The author's **Base Case target price of ₹1,403.60** is derived from an **80% SOTP / 20% DCF weighting**:

Valuation Component	Weight	Value
SOTP	80%	₹1,418.89
DCF	20%	₹1,342.45
Final Target Price	100%	₹1,403.60

At the current market price of ₹1,310.00, the Base Case implies approximately 7.1% upside.



Why HOLD?

The HOLD recommendation reflects **valuation rather than a negative assessment of the underlying businesses**.

Reliance offers substantial long-term optionality through Jio monetisation, Retail expansion, O2C recovery and the development of its broader consumer ecosystem. However, much of this structural growth potential is already reflected in the current valuation.

The scenario analysis illustrates the range of possible outcomes:

- **Bear Case:** ₹989.63 — **24.5% downside**
- **Base Case:** ₹1,403.60 — **7.1% upside**
- **Bull Case:** ₹1,959.14 — **49.6% upside**

The wide range demonstrates that Reliance's valuation remains particularly sensitive to **Jio and Retail earnings growth, segment EV/EBITDA multiples, O2C profitability, WACC and terminal assumptions**.

Final View

The author's view can therefore be summarised as:

High-quality businesses + strong structural growth + significant long-term optionality — but insufficient margin of safety at the current market price.

Accordingly, the author maintains a **HOLD** recommendation with a **₹1,403.60 Base Case target price**.

The principal factors that could justify a future upgrade to **BUY** would be:

1. Faster-than-expected Jio monetisation;
2. Sustained Retail margin expansion;
3. Stronger O2C earnings recovery;
4. Improved free-cash-flow generation; and/or
5. A more attractive entry price providing a wider margin of safety.

Conversely, weaker execution or multiple compression across Jio and Retail would increase downside risk.

Investment Rating

HOLD

Target Price: ₹1,403.60

Current Price: ₹1,310.00

Implied Upside: +7.1%

APPENDIX A: HISTORICAL FINANCIAL PERFORMANCE

RELIANCE INDUSTRIES LIMITED

HISTORICAL CONSOLIDATED PROFIT & LOSS STATEMENT

(₹ in Crore, except per-share data)

Consolidated Line Item	FY2021- 22	FY2022- 23	FY2023- 24	FY2024- 25	FY2025- 26
Revenue (Value of Sales & Services)	7,88,743	9,74,864	10,00,122	10,71,174	11,75,919
Revenue from Operations	6,99,934	8,77,035	9,14,472	9,80,136	10,75,675
Other Income	14,947	11,713	16,057	17,978	19,252
Total Income	7,32,578	9,03,045	9,30,529	9,98,114	11,04,637
Raw Material Cost	3,74,210	4,91,230	4,68,905	4,98,220	5,42,110
Purchase of Stock-in-Trade	1,02,450	1,42,105	1,75,600	1,92,440	2,12,305
Employee Benefit Expense	18,775	22,234	25,690	28,559	30,318
Other Operating Expenses	80,815	67,546	65,987	77,495	82,031
EBITDA	1,23,684	1,53,920	1,78,290	1,83,422	2,07,911
Depreciation & Amortisation	29,782	40,303	50,832	53,136	57,688
Financial Cost	14,584	19,571	23,118	24,269	27,061
Profit Before Share of Profit/(Loss) of Associates/JVs and Tax	88,437	1,05,759	1,20,784	1,06,017	1,23,162
Tax Expense	22,434	27,170	25,707	25,230	27,552
Profit After Tax (PAT)	66,184	73,670	78,633	80,787	95,610
Share of Profit/(Loss) of JVs & Associates	1,661	418	387	522	144
PAT + Share of Associates/JVs	67,845	74,088	79,020	81,309	95,754
Net Profit attributable to NCI	7,140	7,386	9,399	11,661	14,979
Net Profit Attributable to Owners	60,705	66,702	69,621	69,648	80,775

Basic EPS (₹)	89.50	98.00	102.90	51.50	59.70
Diluted EPS (₹)	89.50	98.00	102.90	51.50	59.70

Historical Financial Trend

Metric	FY2021-22	FY2025-26	Change
Revenue	₹7.89 lakh Cr	₹11.76 lakh Cr	+49.1%
EBITDA	₹1.24 lakh Cr	₹2.08 lakh Cr	+68.1%
PAT attributable to owners	₹60,705 Cr	₹80,775 Cr	+33.0%

Source: Historical financial model / Reliance Industries consolidated financial statements.
Note: Figures are presented in ₹ crore and may differ from segment-level reporting bases because of inter-segment transactions and consolidation adjustments.

THREE-STATEMENT PROJECTIONS

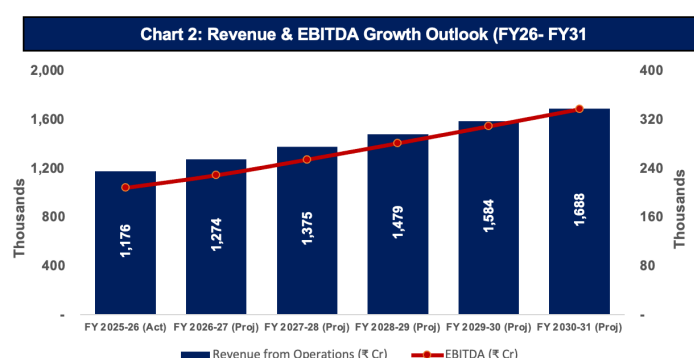
(₹ in Crore, except per-share data)

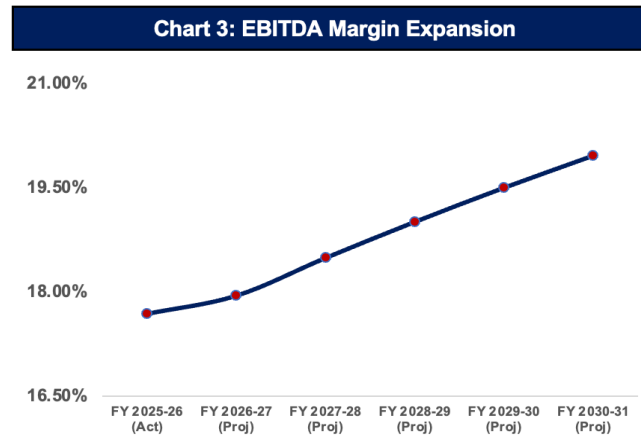
The author's forecast model projects Reliance's consolidated **income statement, balance sheet and cash flows from FY2026-27E to FY2030-31E**. The projections are built from segment-level operating assumptions and are subsequently rolled into the consolidated financial statements.

Projected Income Statement

₹ Crore	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	11,75,919	12,73,708	13,75,286	14,79,327	15,84,294	16,88,489
EBITDA	2,07,911	2,28,516	2,54,207	2,81,106	3,08,827	3,36,935
EBITDA Margin	17.7%	17.9%	18.5%	19.0%	19.5%	20.0%
EBIT	1,50,223	1,66,501	1,87,541	2,09,440	2,31,787	2,54,116
PAT	95,610	1,02,178	1,15,525	1,29,258	1,43,043	1,56,501
PAT attributable to owners	80,775	85,110	95,889	1,06,669	1,17,056	1,26,605

Forecast interpretation: Revenue increases at approximately **7.5% CAGR** from FY26A to FY31E, while EBITDA grows at approximately **10.1% CAGR**, resulting in gradual consolidated margin expansion from **17.7% to 20.0%**.





Segment EBITDA Build

₹ Crore	FY26A	FY31E	FY26–31 Growth
O2C	60,546	68,281	Moderate
Digital Services	76,560	1,37,005	Strong
Retail	27,034	62,686	Strong
Oil & Gas	19,050	22,702	Moderate
Media, Entertainment & Others	24,721	46,259	Strategic
Total EBITDA	2,07,911	3,36,935	10.1% CAGR

Cash Flow & Balance Sheet Drivers

The forecast model assumes continued high capital expenditure to support Reliance's operating platforms, while improving earnings generation gradually strengthens internally generated cash flow.

Key projected drivers include:

- **Operating cash flow** increases from **₹1.71 lakh crore in FY26A to approximately ₹2.78 lakh crore by FY31E**.
- **Capital expenditure** remains elevated through the forecast period, reflecting continued investment across the Group.
- Long-term borrowings decline progressively from **₹2.71 lakh crore in FY26A to ₹1.54 lakh crore by FY31E**.
- Cash and cash equivalents increase to approximately **₹2.97 lakh crore by FY31E**.
- The balance sheet therefore reflects a combination of **earnings growth, continued investment and gradual deleveraging**.

Key Projection Takeaway

The three-statement model establishes the financial bridge between the **segment operating assumptions and the valuation outputs**. Revenue growth is supported primarily by Jio and Retail, while EBITDA growth outpaces revenue as the earnings mix shifts toward higher-growth businesses. The resulting cash-flow profile forms the basis for the subsequent **FCFF and DCF valuation**.

FORECAST ASSUMPTIONS & SCENARIO FRAMEWORK

The forecast period covers **FY2026-27E to FY2030-31E**. Assumptions are developed at the segment level to reflect the different growth, margin, capital-intensity and cyclicity characteristics of Reliance's businesses. The Base Case forms the primary operating forecast, while Bull and Bear cases are used to assess valuation sensitivity.

Corporate & Valuation Assumptions

Assumption	Base Case	Bull Case	Bear Case
Effective Tax Rate	25.17%	25.17%	25.17%
WACC	10.50%	9.75%	11.25%
Terminal Growth Rate	5.00%	5.50%	4.50%
Conglomerate Discount	(5.00%)	0.00%	(10.00%)

The **10.50% Base Case WACC** incorporates a conservative margin of safety relative to the mathematically derived cost of capital, while the terminal growth rate of **5.00%** reflects long-term nominal growth potential. The conglomerate discount captures the valuation impact of Reliance's diversified structure and the difficulty of fully realizing standalone segment values at the consolidated level.

WHAT IS CONGLOMERATE DISCOUNT?

A conglomerate discount is the difference between a company's SOTP (sum-of-the-parts) valuation and its actual market valuation. It reflects investor scepticism about management's capital allocation, concerns about complexity, or preference for focused businesses.

DISCOUNT ASSUMPTIONS BY SCENARIO

Scenario	Conglomerate Discount	SOTP Value	Implied Market Value	Interpretation
Bull Case	0% (No discount)	₹1,959.14	₹1,959.14	Market fully values all segments at premium multiples; conglomerate structure viewed as strategic asset
Base Case	-5% (Modest discount)	₹1,403.60	₹1,473.78	Market applies small discount; recognizes Jio/Retail quality but scepticism about conglomerate remains
Base Case	-10% (Material discount)	₹989.63	₹1,088.60	Market applies significant discount; investor scepticism about conglomerate structure and segment execution

DETAILED SCENARIO ANALYSIS

BULL CASE: 0% CONGLOMERATE DISCOUNT

Assumption: Market assigns no discount to conglomerate structure; values SOTP at full implied value.

Conditions for Bull Case Realization:

- Clear Segment Separation Value:**
 - Jio achieves separate listing or clear market recognition as high-growth digital platform (valued at 17.0x EV/EBITDA)
 - Retail demonstrates clear path to >9% EBITDA margins, commanding premium multiple (24.0x EV/EBITDA)
 - Market recognizes these as quasi-separate businesses with distinct growth profiles
- Execution Excellence:**
 - Jio delivers 10%+ subscriber growth and >₹304/month ARPU
 - Retail SSS growth 4-5% sustained with margin expansion
 - O2C remains profitable through cycle at ₹12+/bbl GRM
 - Zero execution disappointments that reinforce conglomerate complexity concerns
- Market Sentiment Shift:**
 - Investor preference for diversified portfolios returns (vs current focus bias)
 - Conglomerate discounts narrow industry-wide

- Analyst community increasingly values Reliance's "hidden optionality"

Target Price Realization: ₹1,959 per share

Probability: 20-25% (requires multiple elements aligning)

BASE CASE: -5% CONGLOMERATE DISCOUNT

Assumption: Market applies modest 5% discount to SOTP value, reflecting ongoing (but reduced) scepticism about conglomerate structure while recognizing quality of core assets.

Conditions for Base Case Realization:

1. **Good Execution, Not Exceptional:**
 - Jio grows 10-12% with ARPU ₹276
 - Retail margins 8.0-10.0% with 12-15% EBITDA growth
 - O2C GRM normalizes to ₹10.5-11.0/bbl (stable)
 - Quarterly results broadly in line with guidance
2. **Modest Market Sentiment:**
 - Investors recognize Jio/Retail quality but maintain portfolio diversification scepticism
 - Conglomerate discount persists but at tighter levels than historical (5% vs 15-20%)
 - No major demerger announcements or separate listing plans
3. **Stable Valuation Multiples:**
 - Jio remains at 15.0x (no premium expansion to 16-17x)
 - Retail held at 22.0x (no expansion to 24-25x)
 - Segment multiples stable as market settles on Reliance's diversified positioning

Target Price Realization: ₹1,403.60

Probability: 50-55% (most likely outcome based on current market behaviour)

BEAR CASE: -10% CONGLOMERATE DISCOUNT

Assumption: Market applies material 10% discount to SOTP value, reflecting significant scepticism about conglomerate model and/or execution disappointments.

Conditions for Bear Case Realization:

1. **Execution Misses:**
 - Jio ARPU growth slower than expected; competitive intensity increases (ARPU ₹240)
 - Retail margin expansion disappoints; SSS growth 1-3% only; operating leverage fails
 - O2C margins compress on oversupply; GRM ₹8.5-9.5/bbl (weak cycle)
 - One or more business segments significantly miss forecasts → earnings cuts
2. **Negative Market Sentiment:**
 - Conglomerate discount widens on structural scepticism or poor execution
 - Investor focus on breakup value or potential management faults
 - Analyst community shifts to more cautious stance
 - Market scepticism about whether management can execute on diversified strategy
3. **Multiple Compression:**
 - Jio multiple compresses from 15.0x to 13.0x (reduced 5G confidence)
 - Retail multiple compresses from 22.0x to 18.0x (margin concerns, e-commerce risk)
 - O2C multiple falls from 6.5x to 5.5x on cycle concerns
 - Cumulative multiple compression + discount widening = significant downside

Target Price Realization: ₹989.63

Probability: 20-25% (requires multiple negatives)

INTERPRETATION

- Market has modest scepticism about conglomerate structure
- Recognizes Jio/Retail quality but is not pricing for full SOTP value
- Provides upside opportunity if Base Case (-5% discount) is realized
- Limited downside from current levels unless Bear Case catalysts emerge

CONCLUSION

The conglomerate discount framework explicitly recognizes that Reliance's valuation is not purely a function of SOTP fundamentals, but also reflects market sentiment about conglomerate structure. The scenario-specific assumptions (0% Bull, -5% Base, -10% Bear) provide a realistic range for how different market conditions would impact valuation.

Investors should monitor whether the actual conglomerate discount is widening or narrowing as a key indicator of market sentiment toward Reliance's diversified positioning.

Segment Operating Assumptions

Segment	Revenue Growth / Driver	EBITDA Margin	Base Multiple	Key Driver
O2C	3.54%	9.70%	6.50x	Mid-cycle refining & petrochemical economics
Digital Services (Jio)	14.17% → 7.85%	49.45% → 51.45%	15.00x	ARPU, 5G monetisation & operating leverage
Reliance Retail	13.40% → 9.40%	8.04% → 10.04%	22.00x	Store expansion, consumption growth & scale
Oil & Gas	7.65% → 4.65%	80.07% → 78.07%	5.50x	Production profile & realised gas prices

Key Forecast Drivers

Digital Services — Jio: Growth is expected to moderate over the forecast period as the subscriber base matures. Revenue growth therefore increasingly depends on **ARPU expansion, enterprise services and 5G monetisation**. EBITDA margins expand gradually from **49.45% to 51.45%**, reflecting network utilisation and operating leverage. Capital intensity declines as the major 5G investment phase moves toward a maintenance-oriented phase.

Reliance Retail: Revenue growth moderates from **13.40% to 9.40%**, reflecting continued organised-retail penetration but a progressively larger revenue base. EBITDA margin expands from **8.04% to 10.04%**, supported by scale, supply-chain efficiencies and operating leverage. Store additions remain positive throughout the forecast period but gradually decline from **662 to 462 annually**.

O2C: The segment is modelled using a normalized mid-cycle framework rather than assuming peak commodity conditions. Revenue growth is held at **3.54%**, with an EBITDA margin of **9.70%** and a **\$10.78/bbl normalized GRM**. The 6.50x valuation multiple reflects a premium to Indian Oil while retaining a significant discount to the higher-growth consumer and digital businesses.

Oil & Gas: Revenue growth moderates from **7.65% to 4.65%**, reflecting the mature production profile of KG-D6. The model assumes a gradual decline in EBITDA margin from **80.07% to 78.07%**, while realised gas prices increase by **2.0% annually** in the Base Case. A 5.50x multiple is applied to reflect the segment's lower growth and commodity exposure.

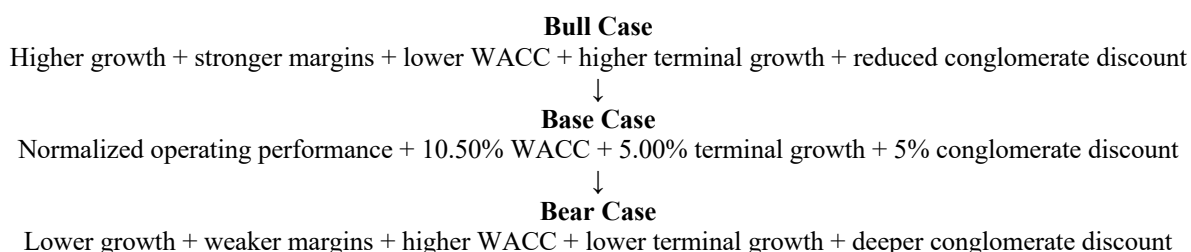
Capital Allocation & Leverage

Group capital expenditure growth is assumed to moderate over the forecast period as Reliance transitions from an infrastructure-heavy investment phase toward a more mature harvesting phase. Segment-level CAPEX assumptions decline progressively, particularly for Jio and Retail.

Long-term borrowing is projected to decline from **₹2.71 lakh crore in FY2025-26 to ₹1.54 lakh crore by FY2030-31**, while operating cash generation strengthens. This supports a gradual improvement in financial flexibility despite continued investment across the business portfolio.

Scenario Architecture

The scenario framework does **not** represent three completely independent forecasts. Instead, it flexes the principal variables that determine valuation:



PRIMARY VALUATION — SCENARIO ANALYSIS

SOTP + DCF Framework | Base Case Target Price: ₹1,403.60

The primary valuation framework combines **Sum-of-the-Parts (SOTP)** and **DCF valuation**, with SOTP receiving an 80% weighting and DCF receiving a 20% weighting. The scenario framework tests the sensitivity of this valuation to changes in operating performance, discount rates and terminal assumptions.

Scenario	Bull Case	Base Case	Bear Case
Jio Subscriber Growth FY27	9.41%	7.41%	5.41%
Retail EBITDA Margin FY27	9.54%	8.04%	6.54%
O2C GRM FY27 (\$/bbl)	13.03	10.78	8.53
Consolidated EBITDA FY27	₹2,40,759 Cr	₹2,30,018 Cr	₹2,19,544 Cr
DCF Target Price	₹2,293.68	₹1,342.45	₹780.32
SOTP Target Price	₹1,875.50	₹1,418.89	₹1,041.96
Weighted Target Price	₹1,959.14	₹1,403.60	₹989.63
Current Market Price	₹1,310.00	₹1,310.00	₹1,310.00
Implied Upside / (Downside)	+49.55%	+7.15%	-24.46%
Recommendation	STRONG BUY	HOLD	SELL
Assigned Probability Weights	20%	65%	15%

Expected Value Synthesis Check:

- Expected Value (EV) = (Bull Target * Bull Weight) + (Base Target * Base Weight) + (Bear Target * Bear Weight)
- EV = (₹1,959.14 * 0.20) + (₹1,403.60 * 0.65) + (₹989.63 * 0.15)
- EV = ₹391.83 + ₹912.34 + ₹148.44 = ₹1,452.61

Strategic Defense of Probability Assignments

The Base Case Anchor (65% Weight Assignment)

The model assigns a high-conviction **65% probability** to the Base Case target of **₹1,403.60**. This choice is mathematically defended by recent trailing historical baseline realizations. In the FY2025-26 reported results, Reliance demonstrated robust financial normalization, printing **₹11.76 lakh crore in Gross Revenue**, **₹2.08 lakh crore in Consolidated EBITDA**, and **₹95,754 crore in Profit After Tax (PAT)**.

Our Base Case assumptions for FY27 merely extend this momentum through realistic, mid-cycle parameters:

- Telecom Normalization:** Modifying Jio's subscriber additions down to a steady-state 7.41% tracks the natural saturation curve of the domestic market following aggressive post-5G connectivity rollouts.
- Retail Spreads:** Expanding organized retail margins to a sustainable 8.04% balances aggressive digital commerce infrastructure investments against physical footprint optimization.

- **Energy Anchoring:** Keeping the O2C division tied to a GRM of \$10.78/bbl safely matches long-term average complexity return spreads at Jamnagar, avoiding over-reliance on speculative geopolitical supply disruptions.

The Bull Case Optionality (20% Weight Assignment)

A **20% probability** is assigned to the Bull Case target of **₹1,959.14** (+49.55% upside). This probability is strictly constrained to prevent the model from over-speculating on simultaneous operational wins. To achieve the consolidated EBITDA expansion to ₹2,40,759 crore, three independent catalysts must click in unison: Jio hitting 9.41% customer expansion via intense rural smartphone migration, Retail margins printing at a record 9.54% via luxury brand partnerships, and global middle-distillate cracks spiking to yield a GRM of \$13.03/bbl. While structurally possible, assigning a probability higher than 20% would violate corporate finance prudence given current global refining capex cycles.

The Bear Case Downside Floor (15% Weight Assignment)

A defensive **15% probability** is assigned to the Bear Case target of **₹989.63** (-24.46% downside risk). This asymmetric distribution (65% Base / 20% Bull / 15% Bear) reflects the core structural support provided by the company's downstream infrastructure assets. For the stock to drop to the Bear Case valuation threshold, Jio subscriber growth must fall off to 5.41% amid severe competitive price wars, and energy margins must break down to a multi-year cyclical low GRM of \$8.53/bbl. Because Reliance operates at the lowest quartile of the global refining cost curve and holds a localized duopoly in digital connectivity, a deep operational collapse remains limited to extreme macro tail-events, fully justifying our compact 15% risk weight allocation.

Investment Interpretation

Bull Case — ₹1,959.14: Upside is driven by stronger Jio subscriber additions, improved Retail margins and higher O2C refining margins. The combination of operating leverage and more favourable valuation assumptions produces substantial re-rating potential.

Base Case — ₹1,403.60: The base case assumes normalisation rather than aggressive growth. Jio growth moderates as the subscriber base matures, Retail margins expand progressively, while O2C remains anchored to mid-cycle refining economics. The resulting **7.15% upside supports a HOLD recommendation**.

Bear Case — ₹989.63: Downside emerges from weaker operating assumptions across the portfolio, including slower Jio growth, lower Retail profitability and weaker O2C margins. The valuation falls below the current market price, highlighting the asymmetric downside if execution or macro conditions deteriorate.

Key conclusion: At ₹1,310, Reliance is positioned close to its base-case intrinsic value. The investment case therefore depends less on broad conglomerate re-rating and more on successful monetisation of Jio, Retail and emerging growth platforms.

The FY2025-26 reported results provide the starting point for this scenario framework: RIL reported ₹11.76 lakh crore of gross revenue, ₹2.08 lakh crore of EBITDA and ₹95,754 crore of PAT.

PEER VALUATION COMPARISON & RELIANCE POSITIONING

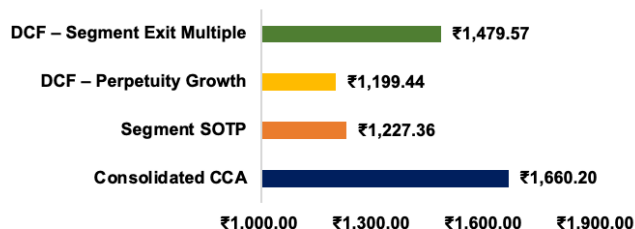
The following table presents Reliance's valuation metrics alongside segment-specific peer companies, illustrating the relative valuation of Reliance's constituent businesses:

INDEPENDENT MARKET-BASED CROSS-CHECK

Relative Valuation & Alternative Intrinsic Frameworks

The primary investment conclusion is derived from the **80% SOTP / 20% DCF framework**. The following valuation strings are presented independently to triangulate the result using market-based relative valuation and alternative intrinsic methodologies. They **do not form part of the primary target-price weighting**.

Reliance Industries (RIL) – Valuation Triangulation Summary



Valuation String	Methodology	Analytical Purpose	Implied Target Price
1. Relative Pricing	Comparable Company Analysis (CCA)	Tests Reliance against listed pure-play sector peers and identifies potential market re-rating if its consumer and digital businesses receive standalone valuations.	₹1,660.20
2. Structural Valuation	Market-Metric SOTP	Values individual business units using prevailing market-based segment multiples, providing an asset-breakup reference point.	₹1,227.36
3. Intrinsic Anchor	DCF — Perpetuity Growth	Provides an alternative fundamental valuation using a 10.50% WACC and 5.00% terminal growth assumption.	₹1,199.44
4. Integrated Intrinsic	DCF — Segment Exit Multiple	Combines five-year FCFF generation with segment-specific terminal EBITDA multiples to capture differences in business maturity and peer valuation.	₹1,479.57

Valuation Range

₹1,199 — ₹1,660

The four independent approaches produce a relatively broad valuation range, reflecting the difficulty of applying a single methodology to a diversified conglomerate. The lower end is anchored by the conservative perpetuity-growth DCF, while the upper end reflects the potential re-rating captured by comparable-company valuation.

Key Interpretation

Relative valuation provides the strongest upside signal: The CCA-derived value of **₹1,660.20** indicates that Reliance could command a higher valuation if investors increasingly value Jio and Retail as higher-quality standalone consumer and digital businesses.

Market-based SOTP remains more conservative: At **₹1,227.36**, the market-metric SOTP indicates that prevailing segment multiples do not independently justify a substantial premium to the current share price.

Intrinsic methodologies produce divergent outcomes: The perpetuity-growth DCF of **₹1,199.44** represents the most conservative intrinsic reference, while the segment-exit DCF of **₹1,479.57** captures greater terminal value through differentiated segment economics.

Cross-Check Conclusion

The independent valuation approaches broadly support the primary framework but reinforce the importance of execution. The ₹1,199–₹1,660 range brackets the current market price of ₹1,310 and suggests that meaningful upside requires either stronger operating delivery or a reduction in the conglomerate discount.